

New Horizons CES S3

QUESTION BANK (DSE Level)

150+ Questions • Word Banks • Guided Case Studies • Data-Based Questions • Exam Practice

Module 3.1: Economy & World Trade | Module 3.2: Political Structure & International Affairs

Includes: MC (trap options) | Fill-in-blanks (with word bank) | Matching | Guided Case Study | DBQ (multiple sources)

Final Exam Practice at end



MODULE 3.1: Economy & World Trade

Topic 3.1A Trade Basics

Q001 [Multiple Choice] Which of the following BEST describes 'invisible trade'?

- A. Trade in tangible goods exported to foreign countries
- B. Trade in goods transported via air freight
- C. Trade in services such as banking, insurance, and tourism
- D. Trade in goods that cannot be seen at the border

Q002 [Multiple Choice] Country X specialises in producing rice and Country Y specialises in producing electronics. Country X exports rice to Country Y. From Country X's perspective, this is:

- A. Import trade
- B. Re-export trade
- C. Export trade
- D. Domestic trade

Q003 [Multiple Choice] Which of the following statements about SPECIALISED PRODUCTION are CORRECT?

- i) It means each country produces ONLY the goods it has a natural advantage in.
- ii) Countries that specialise can produce goods at lower cost than if they produced everything.
- iii) Surplus goods are exported; goods that are lacking are imported.
- iv) Specialised production always benefits all countries equally.

- A. i and ii only
- B. ii and iii only
- C. i, ii and iii only
- D. ii, iii and iv only

Q004 [Multiple Choice] A local factory closes because cheaper imported goods have flooded the market. Which of the following correctly identifies the CHALLENGE and the group MOST directly affected?

- i) Challenge: Unfair trade; group: foreign exporters
- ii) Challenge: Labour unemployment; group: factory workers
- iii) Challenge: Trade protection; group: local consumers
- iv) Challenge: Specialised production; group: government

- A. A only
- B. B only
- C. A and C only
- D. B and D only

Q005 [Multiple Choice] Hong Kong re-exports goods imported from Mainland China to buyers in Europe. This BEST illustrates:

- A. Visible trade involving domestic production
- B. Import trade between HK and Europe
- C. Re-export trade using HK as an entrepot
- D. Invisible trade in logistics services

Q006 [Multiple Choice] Which of the following is NOT an advantage of world trade?

- A. Increases production efficiency through specialisation
- B. Increases consumer variety and choices
- C. Eliminates unemployment in all countries
- D. Promotes overall economic development

Word Bank: (Use each word ONCE. Each answer is ONE word only.)



Word Bank (Use each word ONCE)

- | | | | |
|------------|--------------|--------------|----------------|
| A. Visible | B. Invisible | C. Re-export | D. Specialised |
| E. Export | F. Import | G. Natural | H. Artificial |
| I. Surplus | J. Unfair | | |

(1) Trade in physical goods such as electronics and cars is called _____ trade.

- (2) Trade in services such as banking and tourism is called_____ trade.
- (3) Selling goods to other countries is_____ trade; buying goods from abroad is_____ trade.
- (4) HK is famous for_____-export trade, re-selling goods from one country to buyers in another.
- (5) When a country produces what it does best at lowest cost, this is called_____ production.
- (6) Land, water, and minerals are_____ resources; capital and labour force are_____ resources.
- (7) One challenge of world trade is_____ trade, where weaker countries have less bargaining power.

Q007 [Matching] Match each trade concept with the correct description:

Column A	Column B
(i) Visible Trade	(A) Focuses on producing goods at lowest cost; exports surplus; imports what is lacking
(ii) Invisible Trade	(B) Trade in services e.g. banking, tourism, insurance
(iii) Specialised Production	(C) Re-selling imported goods to a third country (HK is a famous example)
(iv) Re-export Trade	(D) Trade in tangible, physical goods e.g. cars, smartphones
(v) Export Trade	(E) Weaker countries have less bargaining power; their interests are often overlooked
(vi) Unfair Trade	(F) Selling goods or services TO other countries

↓ Write the letter on each blank

- | | |
|------------------------------|-------|
| (i) Visible Trade | _____ |
| (ii) Invisible Trade | _____ |
| (iii) Specialised Production | _____ |
| (iv) Re-export Trade | _____ |
| (v) Export Trade | _____ |
| (vi) Unfair Trade | _____ |

Q008 [Short Question] State what'specialised production' means. Name TWO things a country does under specialised production. (3 marks)

Q009 [Short Question] State the difference between'export trade' and're-export trade'. Name ONE reason HK is famous for re-export trade. (3 marks)

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Q010 [Short Question] State TWO advantages of world trade. State TWO challenges of world trade. (4 marks)

Q011 [Case Study] Read the following carefully and answer ALL questions below.

Country Alpha is a small developing nation in Southeast Asia. It has fertile land and an ideal climate for growing cocoa and coffee. Its labour costs are very low, and it has been exporting agricultural products for decades.

Country Beta is a developed nation in Europe. It has advanced chemical and manufacturing industries producing pharmaceuticals and machinery. However, its climate makes agriculture expensive and uncompetitive.

Country Alpha has recently started buying pharmaceuticals from Country Beta at high prices, while Country Beta's consumers enjoy affordable cocoa and coffee from Country Alpha. Both countries have agreed to remove trade barriers on these specific goods.

(a) Identify the economic principle that explains why Country Alpha exports agricultural products and Country Beta exports pharmaceuticals. Define this principle clearly. (3 marks)

 Hint: Name the principle, then explain it in terms of lowest-cost production and surplus.

(b) Using the case, state how EACH country benefits from this trade arrangement. (4 marks)

 Hint: Think about what each country gains access to that it couldn't produce cheaply itself.

(c) Country Alpha's agricultural workers are concerned that if Beta's farmers lobby for protection, Alpha's exports could be blocked. Identify and explain ONE trade challenge this represents, and state which group would be most affected if it occurred. (3 marks)

 Hint: Which type of unfairness in world trade does this relate to?

(d) Suggest ONE way Country Alpha could protect its economic interests. State why this would be effective. (3 marks)

 Hint: Think about negotiation, diversification, or international organisations.

Q012 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 Some sources contain misleading or incomplete data. Read critically.

Source A Global Trade Volume Growth Rate (%) 2018–2023		
Year	World Trade Volume Growth (%)	Notes
2018	+3.0%	US-China trade war begins
2019	+0.9%	Trade tensions escalate
2020	–5.3%	COVID-19 pandemic
2021	+9.8%	Post-pandemic rebound
2022	+3.0%	Russia-Ukraine War impact
2023	+0.8%	Slowdown continues

Table: WTO World Trade Volume Growth 2018–2023

Source B HK Total Trade (HKD billion) 2019–2023			
Year	Exports (HKD bn)	Imports (HKD bn)	Total Trade (HKD bn)
2019	3,810	4,450	8,260
2020	3,720	4,310	8,030
2021	4,510	5,220	9,730
2022	4,920	5,400	10,320
2023	4,780	5,260	10,040

Table: HK Trade Statistics 2019–2023 (Source: HKSAR Census and Statistics Department)

Source C Advertisement Claim

"Free trade always benefits ALL countries equally. Countries that specialise will never face unemployment because world trade creates jobs for everyone."

From a promotional pamphlet by a trade lobby group

(a) Using Source A, describe the trend in world trade volume growth from 2018 to 2023. Identify ONE event that explains the most dramatic change. (3 marks)

 Look for the biggest drop. What happened in that year?

(b) Using Source B, calculate the change in HK's total trade from 2019 to 2020. Explain what caused this change, referring to Source A. (3 marks)

 Subtract and calculate the %. Think about what happened globally in 2020.

(c) Source C makes two claims. Using your knowledge, critically evaluate whether BOTH claims are accurate. For each claim, state whether it is correct or incorrect and explain why. (6 marks)

 Is it true that free trade benefits ALL equally? Is it true there is never unemployment from trade? Use examples.

(d) Based on Sources A and B, suggest ONE challenge to HK's external trade that is visible in the data. Explain how HK could respond to this challenge. (4 marks)

 Look at years when HK's trade fell. What caused it? What could HK do?

Q013 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 Some sources contain misleading or incomplete data. Read critically.

Source D Country Comparison: Production Costs			
Good	Cost to produce in Country P	Cost to produce in Country Q	Lower cost producer
Rice (per tonne)	USD 120	USD 200	Country P
Electronics (per unit)	USD 450	USD 300	Country Q
Steel (per tonne)	USD 380	USD 380	Equal cost
Textiles (per metre)	USD 8	USD 12	Country P

Table: Production cost comparison between Country P and Q

Source E Student's Analysis (may contain errors)

Based on the data, Country P should specialise in rice, electronics, and textiles as it produces them all more cheaply. Country Q should only produce steel since both countries have equal costs there. If they trade, both countries will always benefit and no workers will ever lose their jobs.

(a) Using Source D, identify which goods Country P and Country Q should each specialise in, and explain your reasoning. (4 marks)

 Which good gives EACH country the BIGGEST advantage? A country should only specialise in what it does BETTER than the other.

(b) Source E contains at least TWO errors. Identify EACH error and explain why it is incorrect using your knowledge of trade theory. (6 marks)

 Does a country specialise in everything it produces more cheaply? Is it true workers never lose jobs from trade?

(c) If Country P stops producing electronics (because it is more expensive), predict ONE economic consequence for Country P's electronics workers, and suggest how the government could respond. *(4 marks)*

 *Think about what happens to workers in non-specialised industries.*

Topic 3.1B External Trade: Mainland China & Hong Kong

Q014 [Multiple Choice] China ranked _____ as a merchandise trade EXPORTER in 2023 according to WTO data.

- A. First (No. 1)
- B. Second (No. 2) overtaken by the US
- C. Third (No. 3) behind US and Germany
- D. Fifth (No. 5)

Q015 [Multiple Choice] Which of the following CORRECTLY describes CEPA?

- A. A multilateral free trade agreement signed in 2020 by 15 countries
- B. A 2003 agreement giving HK goods preferential access to the Mainland market
- C. A Free Trade Zone established inside China since 2013
- D. A BRI-related financial cooperation framework

Q016 [Multiple Choice] Which of the following statements about HKIA are CORRECT?

- i) HKIA handled 4.3 million tonnes of cargo in 2023.
 -) HKIA ranked No. 1 globally for cargo throughput in 2023.
 - i) HKIA ranked No. 1 globally for passenger volume in 2023.
 - i) HKIA was established as part of the Greater Bay Area plan.
- A. i and ii only
 - B. i, ii and iii only
 - C. ii and iv only
 - D. i, ii, iii and iv

Q017 [Multiple Choice] Which of the following are OPPORTUNITIES for HK's external trade?

- i) Expanding HK's Free Trade Agreement network (e.g. CEPA, ASEAN FTA)
 -) The COVID-19 pandemic disrupting global supply chains
 - i) Greater Bay Area cooperation with Guangdong and Macao
 - i) Trade protectionism from the US reducing Chinese exports
- A. i and iii only
 - B. i, ii and iii only
 - C. ii and iv only
 - D. i, ii, iii and iv

Q018 [Multiple Choice] RCEP (Regional Comprehensive Economic Partnership) is best described as:

- A. A bilateral trade agreement between China and ASEAN signed in 2003
- B. A free trade zone established inside China since 2013
- C. The world's largest free trade area signed in 2020 with 15 countries
- D. A trade protection framework that imposes tariffs on non-members

Q019 [Multiple Choice] De-Chinisation refers to:

- A. China banning all foreign imports to protect local industries
- B. Foreign companies moving production OUT of China to other countries
- C. China withdrawing from the World Trade Organisation
- D. The US imposing tariffs on goods imported from China

Word Bank: (Use each word ONCE. Each answer is ONE word only.)

 **Word Bank**(Use each word ONCE)

- | | | | |
|--------------|-------------------|------------------|-------------|
| A. CEPA | B. RCEP | C. tariff-free | D. entrepot |
| E. cargo | F. logistic | G. protectionism | H. supply |
| I. re-export | J. de-Chinisation | | |

(1) HK's trading and _____ sector is the 1st of the four major economic pillars, contributing 22.5% of GDP in 2022.

(2) CEPA was signed in 2003 and gives HK goods preferential, _____ access to the Mainland market.

- (3) RCEP (2020) is the world's largest free trade area, covering_____ and 14 other countries.
- (4) Since 2013, China has established Free Trade Zones where goods enter and exit without_____ duties.
- (5) HKIA ranked No. 1 in the world for_____ throughput, handling 4.3 million tonnes in 2023.
- (6) HK serves as an_____ a port city that re-exports goods from other countries to international buyers.
- (7) The Greater Bay Area promotes joint_____ development between Guangdong, HK, and Macao.
- (8) COVID-19 severely disrupted global_____ chains, causing delays and shortages in international trade.
- (9) Countries imposing tariffs and quotas is called trade_____, which is a major challenge to HK.
- (10) The movement of factories OUT of China to countries like Vietnam is called_____.

Q020 [Matching] Match each term with the correct description:

Column A	Column B
(i) CEPA	(A) Movement of factories/production out of China to reduce tariff exposure
(ii) RCEP	(B) Region covering Guangdong, HK, and Macao for joint economic development
(iii) Free Trade Zone (FTZ)	(C) Area inside China where goods enter/exit freely without tariffs (since 2013)
(iv) Greater Bay Area	(D) World's largest FTA signed in 2020 15 countries in Asia-Pacific
(v) De-Chinaisation	(E) City/region serving as a re-export hub between trading partners
(vi) Entrepot	(F) 2003 agreement giving HK goods preferential access to the Mainland

↓ Write the letter on each blank

- (i) CEPA _____
- (ii) RCEP _____
- (iii) Free Trade Zone (FTZ) _____
- (iv) Greater Bay Area _____
- (v) De-Chinaisation _____
- (vi) Entrepot _____

Q021 [Short Question] State what RCEP stands for and how many countries are involved. Name TWO benefits it brings to Mainland China. (3 marks)

Q022 [Short Question] State THREE challenges facing the external trade of Mainland China AND Hong Kong. (3 marks)

Q023 [Case Study] Read the following carefully and answer ALL questions below.

In 2020, the COVID-19 pandemic disrupted international trade worldwide. Borders were closed, factories shut down, and shipping costs soared. Hong Kong's total trade in goods fell by 2.5% in 2020, while Mainland China's exports dropped by 11.4% year-on-year in Q1 2020.

By 2021, trade rebounded strongly HK total trade grew by approximately 21% and global trade volumes surged by 9.8% (Source: WTO). However, new challenges emerged. The Russia-Ukraine War in 2022 caused wheat prices to rise by about 30% and energy costs to spike, triggering global inflation.

Meanwhile, the US continued to impose tariffs on Chinese goods. Several foreign companies began relocating factories from China to Vietnam, Thailand, and Mexico. This trend called 'de-Chinaisation' threatened China's position as the world's manufacturing hub.

(a) Using the data provided, describe the impact of COVID-19 on HK's external trade in 2020. Calculate the approximate HKD value of trade lost, assuming HK's 2019 total trade was HKD 8,260 billion. (3 marks)

 Hint: Multiply 8,260 by 2.5% to find the drop. Use Source B from the previous section if needed.

(b) State TWO factors that contributed to the trade rebound in 2021. Use data from the paragraph. (3 marks)

 Hint: What happened after lockdowns ended? What role did pent-up demand and supply chain reopening play?

(c) Identify ONE challenge shown in paragraph 3. State how it affects China's economic security. (4 marks)

 Hint: Think about what losing factories means for China's tax revenue, jobs, and long-term competitiveness.

(d) State TWO measures HK or Mainland China could take to reduce vulnerability to the challenges described. (4 marks)

 *Hint: Think about FTAs, domestic demand, BRI, or diversification of industries.*

(e) Some argue that HK benefits MORE than it loses from its role as an entrepot during trade disruptions, while others argue HK is more vulnerable because it depends on external trade. Using evidence from this case, evaluate BOTH views. (5 marks)

 *Hint: Consider: (1) what makes HK strong in difficult times; (2) what makes HK vulnerable. Use the 2020 and 2021 data.*

Q024 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 *Some sources contain misleading or incomplete data. Read critically.*

Source A China's Major Merchandise Export Markets 2023 (% of total exports)		
Export Market	Share of China's Total Exports (%)	Value (USD billion, approx.)
European Union	16.0%	540
United States	14.8%	500
ASEAN	15.5%	523
Hong Kong	8.0%	270
Japan	4.5%	152
South Korea	4.2%	142
Others	37.0%	1,248

Table: China's Export Markets 2023

Source B HK External Trade Key Statistics 2022–2023

Indicator	2022	2023	Change
Cargo throughput (HKIA)	4.2 million tonnes	4.3 million tonnes	+2.4%
Container port rank (global)	9th	10th	↓1 place
Total trade in goods (HKD bn)	10,320	10,040	−2.7%
Mainland share of HK trade	48.1%	49.2%	+1.1%

Table: HK Key Trade Indicators

Source C News Headline Potential Trap

'HK No Longer Relevant: Container Port Falls to 10th Place, Cargo Falls 2.7%'

Headline from an opinion blog, January 2024. The author argues HK's trade role is in permanent decline.

(a) Using Source A, identify China's THREE largest export markets in 2023. Calculate the combined share of these three markets as a percentage of China's total exports. (3 marks)

💡 Add up the three largest percentages. Which regions dominate?

(b) A classmate argues: 'HK's export market is too concentrated on Mainland China, which makes it very risky.' Using Source B, state whether this claim is supported by the data. Explain your answer. (3 marks)

💡 What does 49.2% mean for HK's trade concentration? Is high dependence always a risk?

(c) Source C makes a negative claim about HK's trade. Using Source B and your own knowledge, critically evaluate this claim. Is HK's trade role actually in permanent decline? Identify at least ONE piece of counter-evidence. (5 marks)

💡 HKIA ranking vs cargo volume are they the same thing? What other evidence shows HK's strengths?

(d) A student suggests that the data in Source A shows China is overly dependent on the US and EU markets and that this is a major economic security risk. Do you agree? Explain your view using specific data from the sources. (4 marks)

💡 Look at the % shares. If the US imposed a 25% tariff, how much of China's exports would be affected? What alternatives exist?

Q025 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.
 ⚠ Some sources contain misleading or incomplete data. Read critically.

Source F HK Free Trade Agreements Milestones		
Year	Economy / Agreement	Key Benefit
2003	CEPA with Mainland China	Zero tariffs on eligible HK goods; preferential access
2010	HK–New Zealand CEPA	Mutual tariff elimination on goods
2011	HK–EFTA (4 European countries)	FTA with Switzerland, Norway, Iceland, Liechtenstein
2017	HK–ASEAN FTA	Access to 10 ASEAN markets, 680 million people
2019	HK–Australia FTA	Preferential trade in goods and services
2020	RCEP (indirect benefit)	HK not a member, but Mainland China is; HK benefits via CEPA

Table: HK FTA Timeline

Source G Trade Flow Data: HK ↔ Mainland China (HKD billion)			
Year	HK → Mainland (Exports)	Mainland → HK (Imports)	Mainland share of HK total trade (%)
2000	~150	~550	~15%
2010	~800	~1,900	~44%
2020	~1,450	~2,580	~48%
2023	~1,600	~2,743	~49.2%

Table: HK–Mainland Trade Flow (HKSAR Census & Statistics Department)

(a) Using Source F, state THREE ways HK has expanded its FTA network between 2003 and 2020. For EACH, explain the benefit this brings to HK. (6 marks)

 Name the agreement, the partner(s), and what access or benefit it provides.

(b) Using Source G, describe the trend in Mainland China's share of HK's total trade from 2000 to 2023. Calculate the percentage-point change from 2000 to 2023. (3 marks)

💡 Subtract 15% from 49.2%. Is this trend an opportunity or a risk? Justify briefly.

(c) A critic argues: 'HK's growing trade dependence on Mainland China is a vulnerability if China's economy slows, HK will be severely affected.' Using BOTH sources, evaluate this claim. Present evidence FOR and AGAINST the argument. (6 marks)

💡 For: concentration risk, 49.2% is very high. Against: CEPA, RCEP indirect benefits, HK's FTA network provides alternatives; diversified FTA base.

Topic 3.1C Trade Protection Policies

Q026 [Multiple Choice] A government gives USD 50 cash for every tonne of wheat exported by local farmers. This is an example of:

- A. Import restriction
- B. Import quota
- C. Embargo
- D. Export subsidy

Q027 [Multiple Choice] Country A limits the quantity of foreign steel that can be imported to 500,000 tonnes per year. This is an example of:

- A. Export subsidy
- B. Import duties
- C. Import quota
- D. Trade retaliation

Q028 [Multiple Choice] The WTO was established in 1995. Which of the following CORRECTLY states a fact about the WTO?

- A. It has 164 member states as of 2023 and is headquartered in Brussels
- B. It replaced GATT in 1995 and is headquartered in Geneva, Switzerland
- C. It was founded in 1948 and China joined at its establishment
- D. It is the only body that can impose embargoes on countries that violate trade rules

Q029 [Multiple Choice] Which of the following are VALID reasons for imposing trade protection?

- i) To protect local industries from being undercut by cheaper imports
- ii) To protect employment in struggling local industries
- iii) To impose economic sanctions for political reasons (e.g. UN sanctions)
- iv) To increase the variety of goods available to domestic consumers

- A. i, ii and iii only
- B. i and ii only
- C. ii, iii and iv only
- D. i, ii, iii and iv

Q030 [Multiple Choice] India imposed strict hygiene standards on food imports that are difficult for foreign producers to meet. This is an example of which trade protection policy? Which of the following ALSO correctly identifies a feature of this policy?

- i) Import quota limits the quantity of foreign food imports
- ii) Import restrictions uses standards (not quantity limits) to reduce imports
- iii) Embargo completely bans food imports
- iv) Export subsidy reduces prices of imported food

- A. A only
- B. B only
- C. C only
- D. A and B only

Q031 [Multiple Choice] Hong Kong is a free port. Which of the following goods does HK levy duties on?

- A. Electronics and clothing
- B. Cars and machinery
- C. Liquor, tobacco, hydrocarbon oil, and methyl alcohol
- D. All imported goods over USD 1,000 in value

Word Bank: (Use each word ONCE. Each answer is ONE word only.)



Word Bank(Use each word ONCE)

- | | | | |
|-----------------|-------------------|--------------|------------|
| A. subsidies | B. tariff | C. quota | D. embargo |
| E. bilateral | F. multilateral | G. sanctions | H. WTO |
| I. restrictions | J. liberalisation | | |

(1) Cash grants given to exporters to reduce their prices are called export_____.

(2) A tax imposed on imported goods to raise their price is called an import_____.

- (3) A limit on the QUANTITY of imports in a given period is called an import_____.
- (4) Rules or standards that imported goods must meet such as food safety are called import_____.
- (5) A COMPLETE ban on importing specific goods for political reasons is called an_____.
- (6) Trade negotiations involving only TWO countries are called_____ negotiations.
- (7) Trade negotiations involving THREE or more countries through the WTO are called_____ negotiations.
- (8) UN sanctions on North Korea (2017) and US/EU sanctions on Russia (2022) are examples of economic_____.
- (9) The WTO promotes trade_____ reducing barriers to allow goods and services to move more freely.
- (10) The organisation that promotes free trade globally and was established in 1995 is the_____.

Q032 [Matching] Match each trade protection policy with its correct description:

Column A	Column B
(i) Export Subsidies	(A) A complete ban on importing specific goods, often for political reasons
(ii) Import Duties	(B) A tax imposed on imported goods to raise their market price
(iii) Import Quota	(C) Rules or standards (e.g. food safety, environmental) that imports must meet
(iv) Import Restrictions	(D) A limit on the quantity of goods that can be imported per period
(v) Embargo	(E) Cash grants or concessions given to exporters to help lower their selling price

↓ Write the letter on each blank

- (i) Export Subsidies _____
- (ii) Import Duties _____
- (iii) Import Quota _____
- (iv) Import Restrictions _____
- (v) Embargo _____

Q033 [Short Question] State the difference between an 'import duty' and an 'import quota'. (3 marks)

Q034 [Short Question] State THREE reasons why a government might implement trade protection policies. (3 marks)

Q035 [Case Study] Read the following carefully and answer ALL questions below.

In January 2009, India imposed a complete ban on ALL toy imports from China. At the time, Chinese toys had captured approximately 50% of India's USD 2.5 billion toy market. The Indian government officially stated that Chinese toys contained harmful materials and did not meet Indian safety standards.

However, many economists pointed out that the ban conveniently coincided with strong lobbying from India's local toy manufacturers, who had been losing market share for years. China called the ban a violation of WTO free trade principles.

Following the ban, Indian consumers faced fewer choices and higher prices for toys. Some Chinese toy manufacturers responded by shifting production to Vietnam and Bangladesh, allowing them to access Indian markets through alternative supply chains.

(a) Identify the type of trade protection policy used by India. State how it differs from an 'import quota'. (3 marks)

 Hint: An embargo = COMPLETE ban. A quota = limit on quantity. Explain the key difference clearly.

(b) India gave an official reason (safety standards) for the ban. Using paragraph 2, suggest the REAL economic reason for the ban and explain why this qualifies as trade protectionism. (3 marks)

 Hint: Safety standards are a convenient cover for protecting local industries (import restrictions). Why might India's real motive be economic, not safety?

(c) Using paragraph 3, state TWO consequences of India's ban ONE for Indian consumers and ONE for Chinese manufacturers. (4 marks)

 Hint: Consumers lost choice and paid more; Chinese manufacturers had to find alternative routes or markets.

(d) State TWO ways China could respond to India's ban through legitimate trade channels. (4 marks)

💡 Hint: Think: WTO complaint (multilateral negotiation), bilateral talks, improving product quality/certification, finding new markets.

(e) Some argue that trade protection harms consumers more than it helps local industry. Using this case as evidence, evaluate this argument. (4 marks)

💡 Hint: Look at what happened to Indian consumers (price, choice). Did the ban actually help Indian toy makers long-term? Were Chinese manufacturers able to bypass it?

Q036 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

⚠️ Some sources contain misleading or incomplete data. Read critically.

Source A WTO Member Countries and China's Tariff Rate			
Year	WTO Members	Event	China's Average Tariff Rate
1948	23	GATT founded	N/A (not a member)
1995	128	WTO replaced GATT	~15% (before WTO)
2001	143	China joined WTO	15.3%
2010	153		12.5%
2020	164		8.1%
2023	164		7.4%

Table: WTO Membership and China's Tariff Rate

Source B Trade Protection Events Timeline

Year	Country/Event	Type of Trade Protection	Target/Reason
2009	India bans Chinese toys	Embargo	Safety concerns (actual: protect local industry)
2018	US-China	Import duties (25% tariffs)	Retaliate against trade imbalance
2017	UN	Economic sanctions	North Korea's nuclear programme
2022	US/EU	Economic sanctions	Russia's military action in Ukraine
2023	EU	Import restrictions on EVs	Anti-subsidy investigation against Chinese EVs

Table: Recent Trade Protection Events

(a) Using Source A, describe the trend in China's average tariff rate from 2001 to 2023. How does this relate to China's WTO membership? (3 marks)

💡 Tariff rate fell from 15.3% to 7.4% over 22 years. What does WTO membership require countries to do?

(b) Using Source B, identify TWO different types of trade protection policy. For EACH, state the country and the reason given. (4 marks)

💡 Look at the 'Type' column. Find two DIFFERENT types (e.g. embargo ≠ import duties ≠ sanctions).

(c) A student claims: 'The WTO has failed to prevent trade protectionism countries continue to impose tariffs and bans despite WTO rules.' Using BOTH sources, evaluate whether this claim is fully supported by the evidence. (6 marks)

💡 Evidence for: yes, protection continues (Source B). Evidence against: China's tariffs fell from 15.3% to 7.4% (Source A), WTO has 164 members, promotes liberalisation. A nuanced answer acknowledges both.

(d) The EU launched an anti-subsidy investigation against Chinese electric vehicles (EVs) in 2023 (Source B). Identify what type of trade protection this could lead to, and explain the economic justification behind it. (3 marks)

 If Chinese EVs are subsidised by the Chinese government, their prices are artificially low → unfair competition → EU could impose countervailing duties (import duties).

Q037 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 Some sources contain misleading or incomplete data. Read critically.

Source A China Reduces Import Tariffs on Consumer Goods (2018)

With effect from 1 July 2018, China reduced the tariff rates for some imported daily consumer goods, involving 1,449 tariff items. Daily consumer goods include eight categories: food; apparel, footwear and headwear; furniture and houseware; sundry grocery items; cultural, sports and entertainment supplies; home electronics; daily chemical products; and medical and health products. The average tariff rate of the consumer goods involved has been reduced from 15.7% to 6.9%, with an average reduction rate of 55.9%.

In addition, China has also imposed tariff quotas on imported agricultural products such as wheat, corn, rice, sugar, cotton and wool.

Source B Two Trade Protection Experts' Views

Expert A: 'China's 2018 tariff reduction is a sign of genuine trade liberalisation. By reducing average tariffs from 15.7% to 6.9% a reduction of 55.9% China is lowering barriers for imported consumer goods. This will benefit Chinese consumers who can now access cheaper foreign products, demonstrating that trade protection is being dismantled.'

Expert B: 'While China reduced tariffs on some consumer goods, it simultaneously imposed tariff quotas on agricultural products. This shows China is not genuinely liberalising trade it is selectively lowering barriers where it benefits Chinese consumers while protecting strategic industries from foreign competition.'

(a) Using Source A, calculate the percentage-point reduction in tariff rates for consumer goods. Name TWO specific categories of goods affected by this tariff reduction. (3 marks)

 Reduction: 15.7% - 6.9% = 8.8 percentage points (or 55.9% reduction). Categories (any 2): food; apparel, footwear and headwear; furniture and houseware; sundry grocery items; cultural, sports and entertainment supplies; home electronics; daily chemical products; medical and health products.

(b) Using Source A, identify TWO types of trade protection policy used by China: one that reduces trade barriers and one that maintains them. State what type of policy each is. (3 marks)

💡 Reduces barriers: tariff reduction on consumer goods = import duty reduction (lowering the tax on imported goods).
Maintains barriers: tariff quotas on agricultural products = import quota (a quantitative limit on the amount that can be imported at standard rates).

(c) Expert A says China's policy shows 'genuine trade liberalisation'. Expert B disagrees. Using Source A, evaluate which expert's view is better supported. State TWO pieces of evidence from Source A. (4 marks)

💡 Evidence supporting Expert A: tariff rate fell from 15.7% to 6.9% a 55.9% reduction; 1,449 tariff items covered broad range of consumer goods. Evidence supporting Expert B: China ALSO imposed tariff quotas on agricultural products in the same period Source A confirms this. Evaluation: Expert B's view is more balanced Source A shows BOTH liberalisation (consumer goods) AND protection (agricultural quotas) happening simultaneously. Expert A ignores the quota evidence.

Topic 3.1D Trade Conflicts & Economic Security

Q038 [Multiple Choice] The US imposed a 25% tariff on over USD 250 billion of Chinese goods in 2018. Which industry in China was MOST directly affected by the consequent drop in trade volume?

- A. Healthcare industry
- B. Education sector
- C. Transport and logistics industry
- D. Entertainment industry

Q039 [Multiple Choice] Which of the following are DIRECT impacts of trade conflicts between the US and China?

- i) Chinese goods become more expensive in the US market
- ii) Chinese enterprises may relocate production to Vietnam or Mexico
- iii) Chinese consumer goods prices rise as China imports from more expensive sources
- iv) The WTO automatically imposes sanctions on the US for violating trade rules

- A. i, ii and iii only
- B. ii and iii only
- C. i, ii and iv only
- D. i, ii, iii and iv

Q040 [Multiple Choice] 'Economic security' is BEST defined as:

- A. A country's ability to impose trade protection on all competitors
- B. A country's ability to eliminate risks, resist external shocks, and maintain healthy economic growth
- C. A country's military strength to protect its borders from foreign invasion
- D. A country's ability to control global commodity prices

Q041 [Multiple Choice] Which of the following correctly state ways China can safeguard its economic security?

- i) Diversify its industrial structure to reduce dependence on any single sector
- ii) Promote multilateral trade cooperation through the WTO and other platforms
- iii) Impose embargoes on all countries that impose tariffs on Chinese goods
- iv) Develop high-tech industries to reduce reliance on foreign technology

- A. i, ii and iv only
- B. i and ii only
- C. i, ii and iii only
- D. i, ii, iii and iv

Q042 [Multiple Choice] When the US-China trade war began in 2018, China had to import soybeans from Brazil instead of the US at higher prices. This BEST illustrates which impact of trade conflicts?

- A. Reducing imports and exports between affected countries
- B. Rising cost of consumer goods as costs are passed on
- C. Increasing investment risks and stock market decline
- D. Reducing product competitiveness of Chinese manufacturers

Q043 [Multiple Choice] 'Development and Security must go hand in hand' is a principle stating that:

- A. Military development is necessary for economic security
- B. Economic development and national security are mutually dependent and must be pursued together
- C. Trade conflicts can only be resolved through military action
- D. Countries should prioritise security over all forms of economic development

Word Bank: (Use each word ONCE. Each answer is ONE word only.)



Word Bank(Use each word ONCE)

- | | | | |
|-----------------|-------------------|---------------|-------------|
| A. volume | B. de-Chinisation | C. confidence | D. risk |
| E. goods | F. security | G. diversify | H. domestic |
| I. multilateral | J. supply | | |

(1) Trade conflicts can significantly reduce trade _____, causing serious disruption to the transport and logistics industry.

(2) Higher tariffs cause some companies to relocate factories a trend known as _____.

- (3) Trade conflicts undermine investor _____, causing the stock market to fall.
- (4) Higher tariffs raise production costs, which are passed on to consumers making _____ more expensive.
- (5) Economic _____ means the country can eliminate risks and resist external shocks to ensure healthy development.
- (6) China can strengthen economic security by encouraging _____ demand boosting local market consumption.
- (7) China should _____ its industrial structure, developing high-tech sectors to reduce vulnerability.
- (8) Ensuring _____ cooperation through the WTO helps China challenge unfair tariffs.
- (9) Trade conflicts increase investment _____, causing uncertainty for investors and leading to stock market declines.
- (10) COVID-19 severely disrupted global _____ chains, revealing the danger of over-dependence on international networks.

Q044 [Case Study] Read the following carefully and answer ALL questions below.

In 2018, the United States imposed tariffs of up to 25% on over USD 250 billion worth of Chinese goods, citing concerns about China's trade practices. China responded with retaliatory tariffs on US agricultural products including soybeans, pork, and wine.

As a result, China had to source goods from alternative suppliers at higher cost per tonne. Several multinational companies began relocating factories from China to Vietnam and Mexico to avoid US tariffs a process widely described as 'de-Chinaisation'. The Shanghai Stock Exchange Composite Index fell by over 25% during 2018.

By 2020, the COVID-19 pandemic had further disrupted trade. China's exports fell 11.4% in Q1 2020 and HK's total trade declined 2.5% for the full year. In 2022, Russia's invasion of Ukraine caused global wheat prices to spike and energy costs to surge.

Despite these challenges, China's GDP grew by 5.0% in 2023, significantly above the global average of 3.0%, demonstrating resilience in the face of external pressures.

- (a)** Using paragraph 2, identify and explain TWO impacts of the US-China trade conflict on China's economy. Support each impact with specific evidence from the paragraph. (4 marks)

 **Hint:** Impact 1: consumer prices rose (soybeans 8% more expensive). Impact 2: investment risk increased (stock market fell 25%). Use the exact figures.

(b) State what 'economic security' means. State how de-Chinaisation threatens China's economic security. (4 marks)

 Hint: Define economic security first. Then explain: factory relocation → tax revenue ↓, jobs ↓, exports ↓, technological capability leaves China.

(c) Using paragraph 3, explain how TWO different global events COVID-19 and the Russia-Ukraine War each created different challenges for China's external trade. (4 marks)

 Hint: COVID-19 = demand collapse + supply chain disruption. Russia-Ukraine = energy/food price inflation. They are different types of challenges.

(d) Using paragraph 4, China's GDP grew 5.0% in 2023 despite all the challenges described. Does this mean China's economic security is not threatened? Evaluate this claim using evidence from ALL four paragraphs. (5 marks)

 Hint: The GDP figure suggests resilience, BUT it doesn't mean security is guaranteed. Many risks remain (de-Chinaisation, supply chain vulnerability, trade war). A good answer acknowledges both the strength shown AND the ongoing risks.

(e) Suggest TWO concrete measures China could take to strengthen its economic security. For EACH measure, explain how it specifically addresses ONE of the threats identified in this case. (4 marks)

💡 Hint: Match each measure to a threat: e.g. (1) Diversify soybean imports → reduces vulnerability to US agricultural sanctions. (2) Develop domestic chip production → reduces de-Chinaisation risk in high-tech.

Q045 [Data-Based Question] Study ALL sources carefully. Answer the questions that follow.

⚠ Some sources contain misleading or incomplete data. Read critically.

Source A US imports from China and exports to China (2017, USD 100 million)		
Category	US imports from China (USD 100m)	US exports to China (USD 100m)
Capital goods (excl. automotive)	\$1,903	\$2,358
Industrial supplies and raw materials	\$479	\$420
Food, feed, and beverages	\$200	\$139
Automotive, parts, and engines	\$61	\$72
Consumer goods (excl. food and automotive)	\$2,358	\$72

Table: Sources: PwC China Report 2018; EDigest, 15 October 2020.

Source B Trade Protection Policies Two Real Cases			
Year	Country	Policy	Stated reason
2009	India	Embargo complete ban on Chinese toy imports (6 months)	Safety standards; protect domestic toy industry (USD 2.5bn market; Chinese goods = ~50% of market)
2017	United Nations	Economic sanctions embargo on North Korea exports and imports	North Korea's nuclear testing and missile development

Table: Sources: Textbook pp.109, 109.

Source C A Trade Expert's View (may be incomplete or misleading)
'The US consistently imports far more from China than it exports to China. This trade deficit proves that China is harming the US economy through unfair trade practices. The solution is simple the US should impose a complete embargo on ALL Chinese goods to eliminate the deficit entirely.'

(a) Using Source A, calculate the total trade deficit between the US and China in 2017. Which category had the largest trade imbalance? What does this suggest about trade between the two countries? (3 marks)

💡 Total: need to sum all imports minus all exports. Largest imbalance: consumer goods (\$2,358 imports vs \$72 exports = \$2,286 deficit) or capital goods (\$1,903 imports vs \$2,358 actually US surplus here). State what this pattern suggests about specialisation and trade flows.

(b) Using Source B, identify the type of trade protection policy used by India in 2009 and by the UN in 2017. State the difference between these two uses of the same policy. (3 marks)

💡 Both = embargo. Difference: India's embargo = economic/commercial reason (protect local industry). UN's = political/security reason (sanctions for nuclear testing). Same policy, different purposes.

(c) The trade expert in Source C suggests imposing a'complete embargo on ALL Chinese goods'. Using Source A and your knowledge of trade protection policies, evaluate whether this suggestion would be effective. State at least TWO reasons. (4 marks)

💡 Reason 1 against: an embargo would hurt US consumers they would lose access to cheaper goods (consumer goods: \$2,358 billion of imports). Reason 2 against: it would damage US exporters who rely on the Chinese market (\$2,358 billion exports to China in capital goods alone). Reason 3 against: an embargo is the most extreme form of trade protection; the WTO's dispute settlement mechanism and bilateral negotiations are more proportionate responses.

Topic 3.1E China's Economic Performance, Policies & Livelihood

Q046 [Multiple Choice] Which of the following are the FOUR indicators used to measure China's level of economic development?

- A.** GDP, per capita GDP, unemployment rate, inflation rate
- B.** GDP, population growth rate, export volume, inflation rate
- C.** Per capita GDP, Gini coefficient, unemployment rate, trade surplus
- D.** GDP, foreign exchange reserves, inflation rate, literacy rate

Q047 [Multiple Choice] According to the textbook, what does an increase in China's GDP reflect?

- A.** The average income level of the Chinese people is rising
- B.** The overall SIZE of China's economy is growing
- C.** China's inflation rate has remained low and stable
- D.** China's employment in the tertiary industry is increasing

Q048 [Multiple Choice] Which of the following CORRECTLY describe changes in China's industrial structure since reform and opening-up?

- i) The share of the tertiary industry in GDP is gradually increasing
 - ii) The share of the primary and secondary industries in GDP is gradually decreasing
 - iii) The number of people working in the tertiary industry has been gradually increasing
 - iv) The share of the secondary industry in GDP is gradually increasing
- A.** i, ii and iii only
 - B.** i and ii only
 - C.** i and iii only
 - D.** i, ii, iii and iv

Q049 [Multiple Choice] The 14th National Congress of the CPC proposed establishing a socialist market economy system in:

- A.** October 1989
- B.** October 1992
- C.** March 1993
- D.** June 2001

Q050 [Multiple Choice] Which of the following CORRECTLY describes the 'socialist market economy'?

- A.** An economy where all resources are publicly owned and production is controlled by a central authority
- B.** An economy where most resources are privately owned and production is guided entirely by the free market
- C.** A market economy integrated with the basic social system of socialism, where the market plays a decisive role under macroeconomic control
- D.** An economy that combines planned and market elements in exactly equal parts

Q051 [Multiple Choice] Which government body is responsible for formulating China's national economic and social development policies, including the Five-Year Plans?

- A.** Ministry of Finance
- B.** State Council
- C.** National Development and Reform Commission (NDRC)
- D.** People's Bank of China

Q052 [Multiple Choice] Which of the following CORRECTLY describes the People's Bank of China?

- A.** It is responsible for collecting taxes and managing public finance
- B.** It is the central bank of China, responsible for the reform and development of the financial industry
- C.** It formulates Five-Year Plans and annual economic development strategies
- D.** It is a commercial bank that provides loans to state-owned enterprises

Q053 [Multiple Choice] The main objective of the Greater Bay Area (GBA) development strategy is to:

- A.** Replace Hong Kong as the main financial centre of Asia
- B.** Build an international first-class bay area ideal for living, working and travelling
- C.** Promote the reunification of Taiwan with Mainland China
- D.** Establish a free trade zone between China and ASEAN

Q054 [Multiple Choice] Which of the following are among the DEVELOPMENT FOCUSES of the Greater Bay Area?

- i) Developing an international innovation and technology hub
- ii) Building a globally competitive modern industrial system
- iii) Expediting infrastructure connectivity between Guangdong, HK and Macao
- iv) Strengthening cooperation and jointly participating in the Belt and Road Initiative

A. i and ii only
C. i, ii and iv only

B. i, ii and iii only
D. i, ii, iii and iv

Q055 [Multiple Choice] Which of the following statements about China's poverty alleviation policy is CORRECT?

A. The goal of poverty alleviation is to eliminate all poverty by 2035
C. The main standard for identifying the poor is based only on income (One Income)

B. In 2020, the task of eradicating absolute poverty in China was completed
D. The poverty alleviation strategy does not differentiate between urban and rural areas

Word Bank: (Use each word ONCE. Each answer is ONE word only.)

 **Word Bank** (Use each word ONCE)

A. tertiary

B. GDP

C. inflation

D. primary

E. NDRC

F. Finance

G. central

H. targeted

I. subsistence

J. smart

(1) The share of output value of the _____ industry in GDP is gradually increasing since reform and opening-up.

(2) An increase in per capita _____ reflects the growing level of average income of the Chinese people.

(3) The maintenance of the _____ rate at around 1% to 3% reflects that China's inflation has remained low and stable.

(4) Since reform and opening-up, the share of the _____ and secondary industries in GDP is gradually decreasing.

(5) The _____ (National Development and Reform Commission) conducts comprehensive studies and formulates policies on economic and social development.

(6) The Ministry of _____ is responsible for financial affairs, such as drafting plans on the development of public finance and taxation.

(7) The People's Bank of China is the _____ bank of China; its functions include working out strategic outlines for the reform and development of the financial industry.

(8) China creatively put forward and implemented the strategy of _____ poverty alleviation, including the 'Targeted Efforts in Six Areas' and the 'Five Measures for Poverty Eradication'.

(9) China's mode of consumption has shifted from _____ consumption to development and enjoyment-based consumption.

(10) With the gradual maturity and widespread application of new-generation information technologies, healthcare services have become intelligent and been developed into _____ healthcare.

Q056 [Short Question] Name the FOUR economic indicators used to measure China's level of economic development. State what each one reflects. (4 marks)

Q057 [Short Question] State the difference between a planned economy, a market economy, and a mixed economy. (3 marks)

Q058 [Short Question] Name THREE government bodies responsible for China's macroeconomic regulation. State ONE role of each. (3 marks)

Q059 [Short Question] State the main objective of the Greater Bay Area (GBA). Name TWO development focuses of the GBA. (3 marks)

Q060 [Short Question] State FOUR improvements in the livelihood of Chinese residents in the areas of work, accommodation, consumption, and healthcare. (4 marks)

Q061 [Short Question] State the goal of China's poverty alleviation policy. State the main criteria used to identify the poor. (3 marks)

Q062 [Case Study] Read the following carefully and answer ALL questions below.

China's economy has grown rapidly since reform and opening-up. The country's economic success is closely related to the reform and opening-up policy launched in 1978. Gross Domestic Product (GDP), per capita GDP, unemployment rate, and inflation rate are the four key indicators used to measure the level of economic development.

Since reform and opening-up, China's industrial structure has undergone significant changes. The share of the primary and secondary industries in GDP is gradually decreasing, while the share of the tertiary industry is gradually increasing. The number of people working in the tertiary industry has also been growing. The country has shifted from a planned economy (where resources are publicly owned and production is controlled by a central authority) to a socialist market economy (proposed at the 14th CPC National Congress in October 1992; written into the Constitution on 29 March 1993).

To promote economic development, the Central People's Government has established macroeconomic regulation institutions. The NDRC formulates economic development strategies and Five-Year Plans. The Ministry of Finance manages public finance and taxation. The People's Bank of China, as the central bank, oversees the reform and development of the financial industry. An important recent policy is the development of the Greater Bay Area (GBA), which aims to deepen cooperation among Guangdong, Hong Kong and Macao, and build an international first-class bay area ideal for living, working and travelling.

China's economic development has significantly improved the livelihood of Chinese residents. In terms of work, rural labour has moved to cities and shifted to non-agricultural industries; new occupations have emerged. Accommodation has improved through rural dangerous building reconstruction and urban public rental housing. Consumption has shifted from subsistence to development and enjoyment-based. In healthcare, smart healthcare has solved the problem of 'difficulty in getting medical treatment'. In terms of poverty alleviation, the strategy of targeted poverty alleviation 'Targeted Efforts in Six Areas' and 'Five Measures for Poverty Eradication' led to the completion of the task of eradicating absolute poverty in China in 2020.

(a) Using paragraph 1, name the FOUR economic indicators. For EACH, state what an improvement in that indicator reflects about China's economy. (4 marks)

 Hint: GDP ↑ = economy growing in size. Per capita GDP ↑ = average income rising. Unemployment stable = employment steady. Inflation 1-3% = low and stable.

(b) Using paragraph 2, state TWO changes in China's industrial structure since reform and opening-up. State when the socialist market economy was written into the Constitution. (3 marks)

 Hint: Changes: primary+secondary share ↓, tertiary share ↑; more workers in tertiary. Constitution: 29 March 1993.

(c) Using paragraph 3, name the THREE government bodies responsible for macroeconomic regulation. State ONE key role of EACH. (3 marks)

 Hint: NDRC = formulates economic/social development policies and Five-Year Plans. Ministry of Finance = financial affairs and taxation. People's Bank of China = central bank, financial industry reform.

(d) Using paragraph 3, state the main objective of the Greater Bay Area (GBA). Name TWO development focuses of the GBA. (3 marks)

 Hint: Objective: deepen cooperation among Guangdong, HK, Macao; develop international first-class bay area for living/working/travelling. Focuses (any 2): innovation hub; modern industrial system; ecological conservation; cooperation platforms; quality living circle; infrastructure connectivity; BRI cooperation.

(e) Using paragraph 4, state FOUR improvements in Chinese residents' livelihood. For EACH, name the area of improvement and state ONE specific change. (4 marks)

 Hint: Work: rural labour → cities; new occupations. Accommodation: rural building reconstruction; urban public rental housing. Consumption: subsistence → development/enjoyment; online shopping. Healthcare: smart healthcare; solved'difficulty getting medical treatment'.

Q063 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 Some sources contain misleading or incomplete data. Read critically.

Source A Economic growth projections by region (GDP annual % change)			
Economy	2022	2023	2024 (projected)
World output	3.5	3.0	2.9
Developed economies	2.6	1.5	1.4
The US	2.1	2.1	1.5

Japan	1.0	2.0	1.0
Emerging markets and developing economies	4.1	4.0	4.0
China	3.0	5.0	4.2
India	7.2	6.3	6.3

Table: Source: World Economic Outlook 2023, International Monetary Fund.

Source B State Council Measures to Restore and Expand Consumption (2023)

In 2023, China's economy was gradually recovering, demonstrating its resilience and development potential. French economist Jean-Paul Tchang said that China's consumer spending has great potential. In July 2023, the State Council released the'Measures for Restoring and Expanding Consumption', which set out 20 measures to promote consumer spending, including those targeting automobiles, housing, electronic products and households, as well as catering, culture, tourism, and health services.

Source C A Student's Analysis (may contain errors)

China's GDP growth rate increased continuously every year from 2022 to 2024 this shows China's economy grew faster and faster without any setbacks. Since China's projected growth rate for 2024 (4.2%) is lower than 2023 (5.0%), China's economy is performing worse than developed economies like the US and Japan. The State Council's measures in Source B target only rural residents, not urban consumers.

(a) Using Source A, describe the trend in China's GDP growth rate from 2022 to 2024. State how China's growth compares to world output and developed economies. (3 marks)

💡 China 2022: 3.0%, 2023: 5.0%, 2024(projected): 4.2% rose then fell slightly. China grew FASTER than world output (3.0%) and much faster than developed economies (1.4% in 2024). Shows China as a strong driver of global growth.

(b) Using Source B, state the main goal of the State Council's measures. State ONE specific area targeted and explain how it could affect people's livelihood. (3 marks)

💡 Main goal: promote consumer spending / stabilise economic growth. Area (any 1): automobiles, housing, electronics, catering, culture, tourism, health services. Impact: e.g. 'targeting housing → helps residents improve accommodation conditions' or 'targeting health services → improves access to medical care'.

(c) Source C contains at least THREE errors. Identify EACH error and explain why it is incorrect using Source A or Source B. (4 marks)

💡 Error 1: 'grew continuously without setbacks' *WRONG*. Source A: growth *FELL* from 5.0% (2023) to projected 4.2% (2024).
Error 2: 'China performing worse than developed economies' *WRONG*. Source A: China 4.2% projected far exceeds developed economies 1.4% in 2024. Error 3: 'only rural residents' *WRONG*. Source B: measures target automobiles, housing, electronics these cover both urban *AND* rural residents; no mention of rural-only.



MODULE 3.2: Political Structure & International Affairs

Topic 3.2A Constitution & Central State Institutions

Q064 [Multiple Choice] The Constitution is the fundamental law of China. Which of the following MOST accurately describes its role?

- A.** It is a document that only specifies citizens' rights and duties
- B.** It has the highest legal effect all laws must comply with it and it stipulates the country's basic policy, systems, and political structure
- C.** It is a foreign policy document that guides China's international relations
- D.** It is enacted by the State Council and can be amended by the President

Q065 [Multiple Choice] Which of the following correctly states the HIGHEST state organ of power AND its relationship to the other six central state institutions?

- A.** The State Council all other institutions implement its decisions
- B.** The NPC all other institutions are created by it, accountable to it, and supervised by it
- C.** The President as head of state, all institutions report to the President
- D.** The CMC as the highest military body, it has ultimate authority over all state organs

Q066 [Multiple Choice] Which of the following are among the FOUR main powers of the National People's Congress?

- i) Legislative power: amend the Constitution and enact basic laws
- j) Supervisory power: oversee enforcement of the Constitution
- i) Military power: command the People's Liberation Army directly
- i) Appointment and removal power: elect the President and approve the Premier

- A.** i, ii and iv only
- B.** i and ii only
- C.** i, ii and iii only
- D.** i, ii, iii and iv

Q067 [Multiple Choice] The NPC Standing Committee (NPCSC) exercises NPC powers when:

- A.** The President is abroad on a state visit
- B.** The NPC is not in session
- C.** The General Secretary of the CPC orders it to convene
- D.** There is a national military emergency declared by the CMC

Q068 [Multiple Choice] Which of the following correctly state eligibility requirements for the President of the PRC?

- i) Must be a citizen of the PRC
- j) Must have the right to vote and stand for election
- i) Must be aged 45 or above
- i) Must be a member of the Communist Party of China

- A.** i, ii and iii only
- B.** i and ii only
- C.** i and iii only
- D.** i, ii, iii and iv

Q069 [Multiple Choice] Which institution is responsible for anti-corruption work, investigating embezzlement, bribery, and abuse of power?

- A.** Supreme People's Court
- B.** Supreme People's Procuratorate
- C.** National Commission of Supervision (NCS)
- D.** Central Military Commission (CMC)

Q070 [Multiple Choice] Which of the following correctly describe the Supreme People's Court?

- i) It is the highest adjudicatory organ in China
- j) All trials must be held in public
- i) Accused persons have the right to a defence lawyer
- i) It is responsible for investigating crimes and approving arrests

- A. i, ii and iii only
- C. i and iii only

- B. i and ii only
- D. i, ii, iii and iv

Q071 [Multiple Choice] Which institution commands the People's Liberation Army (PLA), Armed Police Force, and Militia?

- A. National Commission of Supervision
- B. State Council
- C. National People's Congress
- D. Central Military Commission (CMC)

Word Bank: (Use each word ONCE. Each answer is ONE word only.)



Word Bank(Use each word ONCE)

- | | | | |
|-----------------|----------------|-----------------|------------------|
| A. Constitution | B. NPC | C. NPCSC | D. Council |
| E. CMC | F. supervisory | G. adjudicatory | H. procuratorial |
| I. legislative | J. appointment | | |

- (1) The _____ is China's fundamental law with the HIGHEST legal effect all laws must comply with it.
- (2) The _____ is the HIGHEST state organ of power; all other institutions are accountable to it.
- (3) The _____ is the permanent organ of the NPC that exercises NPC powers when the NPC is not in session.
- (4) The State _____ is the highest administrative organ; the Premier leads its work.
- (5) The _____ is the highest military leadership, commanding the PLA, Armed Police Force, and Militia.
- (6) The Supreme People's Court is the highest _____ organ it adjudicates all types of cases.
- (7) The Supreme People's Procuratorate is the highest _____ organ it investigates crimes and files public prosecutions.
- (8) The National Commission of Supervision is the highest _____ organ it conducts anti-corruption work.
- (9) The NPC's _____ power allows it to amend the Constitution and enact criminal, civil, and basic laws.
- (10) The NPC's _____ power allows it to elect the President and approve the Premier.

Q072 [Matching] Match each central state institution with its correct status:

Column A	Column B
(i) NPC	(A) Highest procuratorial organ
(ii) President of the PRC	(B) Highest state organ of power
(iii) State Council	(C) Highest adjudicatory organ
(iv) CMC	(D) Highest administrative organ
(v) NCS	(E) Head of state

(vi) Supreme People's Court	(F) Highest military leadership
(vii) Supreme People's Procuratorate	(G) Highest supervisory organ

↓ Write the letter on each blank

- | | |
|--------------------------------------|-------|
| (i) NPC | _____ |
| (ii) President of the PRC | _____ |
| (iii) State Council | _____ |
| (iv) CMC | _____ |
| (v) NCS | _____ |
| (vi) Supreme People's Court | _____ |
| (vii) Supreme People's Procuratorate | _____ |

Q073 [Short Question] State the FOUR main powers of the National People's Congress (NPC). (4 marks)

Q074 [Short Question] State the relationship between the NPC and the NPCSC. State WHEN the NPCSC exercises NPC powers. (3 marks)

Q075 [Short Question] State the difference between the role of the Supreme People's Court and the Supreme People's Procuratorate. (3 marks)

Q076 [Case Study] Read the following carefully and answer ALL questions below.

In March 2023, China's National People's Congress held its annual plenary session. Over 2,900 deputies attended. The NPC elected Xi Jinping as President of the PRC for a third term and approved Li Qiang as Premier of the State Council (nominated by President Xi Jinping). The NPC also approved the national economic and social development plan and the state budget, including a defence budget increase of 7.2%.

In October 2023, after the abrupt dismissal of Defence Minister Li Shangfu, the NPC Standing Committee (NPCSC) convened a special session and appointed Dong Jun as the new Minister of National Defence. Critics outside China questioned why the full NPC did not make this appointment.

During the same period, the National Commission of Supervision (NCS) announced it was investigating former Foreign Minister Qin Gang for 'serious violations of discipline and law.' He was later removed from office. Separately, the Supreme People's Procuratorate reported that it had prosecuted over 45,000 corruption cases in 2023.

(a) Using paragraph 1, identify TWO powers the NPC exercised in March 2023. For EACH, name the power and state the specific action. (6 marks)

 Hint: Power 1: Appointment power elected Xi Jinping, approved Li Qiang. Power 2: Power to decide major issues approved economic plan and budget. Name BOTH the power AND the evidence.

(b) Using paragraph 2, explain why the NPCSC rather than the full NPC could appoint the new Defence Minister. In your answer, explain the constitutional relationship between the NPC and the NPCSC. (4 marks)

💡 *Hint: NPCSC = permanent organ; exercises NPC powers when NPC not in session. Appointment power includes filling vacancies. Mention 'accountable to NPC'; 'subordinate body'.*

(c) Using paragraph 3, identify which institution investigated Qin Gang. State the type of violation and ONE power this institution exercises. (3 marks)

💡 *Hint: NCS highest supervisory organ. Violation = duty-related violations (abuse of power, bribery). Power: independently exercise supervisory power; investigate without interference.*

(d) Using paragraph 3, state how the Supreme People's Procuratorate differs from the NCS. State which institution investigates FIRST. (4 marks)

 *Hint: NCS investigates (finds evidence, determines guilt). Procuratorate prosecutes (takes to court, files charges). They work in sequence.*

(e) State why the NPCSC can make appointments without waiting for the annual NPC session. (3 marks)

 Hint: The NPCSC exists precisely to handle business when the NPC is not in session. It can exercise appointment power between annual sessions as shown in this case.

Q077 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 Some sources contain misleading or incomplete data. Read critically.

Source A China's 7 Central State Institutions Summary Table				
Institution	Status	Created by	Accountable to	Key Function
NPC	Highest state organ of power	Democratic election	The people	Legislate, appoint, supervise, decide major issues
President	Head of state	NPC	NPC	Foreign affairs, promulgate laws, appoint Premier
State Council	Highest admin. organ	NPC	NPC	Implement economic plans, admin regulations
CMC	Highest military leadership	NPC	NPC+NPCSC	Command armed forces
NCS	Highest supervisory organ	NPC	NPC+NPCSC	Anti-corruption, supervisory
Supreme People's Court	Highest adjudicatory organ	NPC	NPC	Adjudicate cases, judicial interpretations
Supreme People's Procuratorate	Highest procuratorial organ	NPC	NPC	Investigate crimes, public prosecution

Table: China's 7 Central State Institutions

Source B Student's Summary (may contain errors)

Looking at Source A, I can see that: (1) The President has the most power because the President promulgates laws and manages foreign affairs. (2) The State Council and CMC both answer to NPC AND NPCSC, which makes them more powerful than the President. (3) The NCS and Supreme People's Court do the same job they both investigate crimes. (4) All 7 institutions were created by the NPC, which confirms the NPC is the most powerful institution.

(a) Using Source A, explain the relationship between the NPC and the other six central state institutions. Use specific evidence from the table. (3 marks)

 All 6 are created by the NPC and accountable to it. The 'Created by' and 'Accountable to' columns prove this.

(b) Source B makes at least THREE errors. Identify EACH error and use Source A to explain why it is incorrect. (6 marks)

 Error 1: President is not the most powerful the NPC is. Error 2: Just because more institutions answer to NPC+NPCSC doesn't make them more powerful. Error 3: NCS investigates officials; Supreme Court adjudicates cases they are different. Error 4: (4) IS correct not an error.

(c) Using Source A, a student argues that the President is the most powerful institution because 'they promulgate laws and manage foreign affairs.' Evaluate this argument. What does Source A tell us about who created the President and who the President is accountable to? (4 marks)

 The President was created by the NPC and is accountable to the NPC meaning the NPC has ultimate authority. The President's powers are granted BY the NPC and can be reviewed by the NPC.

Topic 3.2B CPC, Multiparty System & CPPCC

Q078 [Multiple Choice] The Communist Party of China (CPC) is best described as:

- A.** One of several parties that compete for votes every 5 years
- B.** The sole governing party and supreme leadership of the PRC
- C.** An advisory body with no formal constitutional role
- D.** A party that governs 8 provinces and consults with other parties on national issues

Q079 [Multiple Choice] Which of the following correctly describe the 8 participating parties in China?

- i) They cooperate with the CPC in state affairs under CPC leadership
- ii) They represent different social groups such as workers, intellectuals, and businesspeople
- iii) They compete with the CPC in elections every 5 years
- iv) They can independently introduce legislation to the NPC without CPC approval

- A.** i and ii only
- B.** i, ii and iii only
- C.** i and iv only
- D.** i, ii, iii and iv

Q080 [Multiple Choice] The CPPCC is BEST described as:

- A.** The highest state organ of power in China
- B.** The organisational form of political consultation and a patriotic united front organisation
- C.** A military advisory body that reports to the CMC
- D.** An administrative body responsible for national economic planning

Q081 [Multiple Choice] Which of the following are functions of the CPPCC?

- i) Political consultation: consult on basic policies before decisions are made
- ii) Democratic supervision: supervise implementation of the Constitution and laws
- iii) Participation in state affairs: submit opinions, proposals, and recommendations
- iv) Legislative power: independently amend the Constitution

- A.** i, ii and iii only
- B.** ii and iii only
- C.** i and ii only
- D.** i, ii, iii and iv

Q082 [Multiple Choice] The basic cooperation principle of China's multiparty system is:

- A.** 'Long-term coexistence, mutual oversight, sincerity, and sharing the rough and smooth'
- B.** 'Competitive elections, democratic selection, freedom of speech for all parties'
- C.** 'One-party leadership with no political consultation or participation'
- D.** 'Multi-party elections held every 5 years under CPC supervision'

Q083 [Multiple Choice] Political consultation by the CPPCC must occur:

- A.** After the NPC has already voted on the policy
- B.** Before decisions are made and before they are implemented
- C.** At the same time as NPC voting in plenary session
- D.** Only when the CPC specifically requests CPPCC input

Word Bank: (Use each word ONCE. Each answer is ONE word only.)



Word Bank(Use each word ONCE)

- | | | | |
|-----------------------|-------------------------|-----------------------|---------------------|
| A. governing | B. participating | C. Congress | D. Secretary |
| E. CPPCC | F. consultation | G. supervision | H. affairs |
| I. coexistence | J. front | | |

(1) The CPC is the only _____ party in China it holds state power and exercises governance.

(2) The 8 other parties are called _____ parties they cooperate with the CPC but do NOT hold governing power.

- (3) The CPC National_____ is held every 5 years and is the highest organ of the CPC.
- (4) The General_____ is the highest leader of the CPC. This position is currently held by Xi Jinping.
- (5) The_____ is the organisational form of political consultation and a patriotic united front organisation.
- (6) The FIRST function of the CPPCC is political_____ consulting on policies BEFORE decisions are made.
- (7) The SECOND function is democratic_____ supervising implementation of the Constitution and laws.
- (8) The THIRD function is participation in state_____ submitting opinions and proposals to improve governance.
- (9) The cooperation principle is:'Long-term_____, mutual oversight, sincerity, sharing rough and smooth.'
- (10) The CPPCC is an organisation of the Chinese people's patriotic united_____.

Q084 [Case Study]Read the following carefully and answer ALL questions below.

During the 2020 national poverty alleviation campaign, members of the Chinese Peasants and Workers Democratic Party one of China's 8 participating parties were deployed to Yunnan Province. Their medical professionals conducted field research on the causes of poverty.

Their research revealed that illness-caused poverty was far more widespread than official statistics suggested: 24.4% of the poverty-stricken population became poor due to illness, compared to the official figure of 13.9%. This discrepancy of over 10 percentage points had major policy implications.

The CPPCC compiled the party's research into a formal proposal and submitted it to the CPC and State Council. After deliberation, the CPC incorporated the findings into its revised poverty alleviation strategy, shifting resources toward more targeted healthcare interventions in Yunnan.

This case was cited by the Chinese government as an example of the multiparty cooperation system working effectively with participating parties contributing professional expertise to improve CPC governance.

- (a) Based on paragraph 1, state the role of the Chinese Peasants and Workers Democratic Party. Is it a governing party or a participating party? State what this means. (3 marks)

 Hint: Participating party cooperates with CPC; contributes expertise; does NOT hold governing power; NOT an opposition party.

- (b) Using paragraphs 2 and 3, name the CPPCC function demonstrated. State the steps from research to policy change. (4 marks)

💡 Hint: Step 1: Party conducts field research (study report). Step 2: CPPCC compiles findings into a formal proposal. Step 3: Submitted to CPC and State Council. Step 4: CPC incorporated findings into revised strategy.

(c) State what the discrepancy between 13.9% and 24.4% shows. State ONE benefit of the multiparty cooperation system shown in this case. (3 marks)

💡 Hint: Without the party's research, the government would have underestimated the problem by 10.5 percentage points → less targeted policy → fewer people helped. The system allows professional expertise to correct government data.

(d) State the difference between 'democratic supervision' and 'participation in state affairs'. State which function is shown in this case. (4 marks)

💡 Hint: Democratic supervision = watching over implementation of laws/policies. Participation in state affairs = actively contributing proposals and recommendations. This case shows participation in state affairs (submitting a proposal that changed policy).

(e) State ONE piece of evidence from this case that supports the multiparty system. State ONE limitation of the participating parties. (4 marks)

💡 Hint: Evidence against the 'just for show' argument: the policy DID change as a result of the party's input. Evidence supporting some truth in it: the party cannot force change on its own it needs the CPC to accept its proposals. A nuanced answer acknowledges both.

Q085 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 Some sources contain misleading or incomplete data. Read critically.

Source A The 8 Participating Parties in China			
Party Name (English)	Party Name (Chinese)	Founded	Main constituency/expertise
China Zhi Gong Party		1925	Overseas Chinese affairs
Chinese Peasants & Workers Democratic Party		1930	Medicine, agriculture, science
China Democratic League		1941	Education, culture, science
China National Democratic Construction Association		1945	Economy, industry, commerce
China Association for Promoting Democracy		1945	Education, culture, publishing
Jiusan Society		1946	Science, technology, education
Taiwan Democratic Self-Government League		1947	Taiwan affairs
Revolutionary Committee of the Chinese Kuomintang		1948	Taiwan affairs, historical KMT members
Table: China's 8 Participating Parties			

Source B A Comparison: China's Multiparty System vs Western Multi-party Systems		
Feature	China's Multiparty Cooperation System	Western Multi-party Democracy (e.g. UK)
Number of parties	1 governing + 8 participating	Multiple competing parties
How parties gain power	CPC leads; others participate	Competitive elections
Opposition parties?	No opposition parties cooperate	Yes opposition challenges governing party
Role of non-governing parties	Advise, supervise, contribute expertise	Form opposition, seek to replace governing party
Goal	Governance improvement through cooperation	Change of government through competition
Table: Comparison of Political Systems		

(a) Using Source A, identify TWO participating parties that have expertise in EDUCATION and explain how this expertise could help improve governance. (4 marks)

 China Democratic League and China Association for Promoting Democracy both focus on education. They could propose education reforms, improve curriculum design, or identify gaps in educational policy.

(b) Using Source B, explain ONE key difference between China's multiparty cooperation system and a Western multi-party democracy. Which system do you think is more effective at including expert voices in policymaking? Justify your answer. (5 marks)

💡 *Key difference: cooperation vs competition. For expert voices: China's system deliberately includes parties organised around professional expertise (medicine, science, education). Western systems focus on winning votes, not expertise. A good answer discusses both systems fairly.*

(c) A Western journalist argues: 'China's 8 participating parties are meaningless because they cannot challenge the CPC.' Using BOTH sources, evaluate this claim. Identify at least ONE way the participating parties DO have meaningful influence. (5 marks)

💡 Source A: parties have specific expertise in key sectors. Use the poverty alleviation example (from the case study) the Peasants & Workers Democratic Party's research changed government policy. Source B: they have a supervisory role. 'Meaningless' is too strong they provide legitimate professional input.

Topic 3.2C China's Foreign Policy

Q086 [Multiple Choice] The Five Principles of Peaceful Coexistence were proposed by which leader, and in which year?

- A. Mao Zedong, 1949 at the founding of the PRC
- B. Zhou Enlai, 1953 when meeting an Indian delegation
- C. Deng Xiaoping, 1984 during the Reform and Opening-up era
- D. Xi Jinping, 2013 when proposing the Belt and Road Initiative

Q087 [Multiple Choice] Which of the following is NOT one of the Five Principles of Peaceful Coexistence?

- A. Mutual respect for sovereignty and territorial integrity
- B. Non-interference in internal affairs
- C. Equality and mutual benefit
- D. Economic assistance to developing countries

Q088 [Multiple Choice] Which of the following correctly describe the evolution of China's foreign policy?

- i) The Five Principles (1953) were proposed to protect sovereignty of newly independent developing nations
- ii) In the 1984 Reform era, 'Peace and Development' became central as China needed a stable environment for modernisation
- iii) The 'community with a shared future for humankind' was proposed at the 18th CPC National Congress in 2012
- iv) China's foreign policy has never changed since 1953

- A. i, ii and iii only
- B. i and ii only
- C. i, ii and iv only
- D. i, ii, iii and iv

Q089 [Multiple Choice] 'Major-country diplomacy' emphasises building relationships with which THREE groups of countries?

- A. Developed nations, oil-producing states, and African countries
- B. Major powers, neighbouring countries, and developing countries
- C. G7 countries, NATO members, and ASEAN nations
- D. Countries with UN Security Council veto power, EU members, and BRI partners

Q090 [Multiple Choice] The concept of 'community with a shared future for humankind' BEST represents:

- A. China's desire to create a global military alliance
- B. China's vision of win-win cooperation where all countries work together for mutual benefit
- C. China's plan to establish a Chinese-led replacement for the United Nations
- D. China's rejection of the Five Principles of Peaceful Coexistence

Word Bank: (Use each word ONCE. Each answer is ONE word only.)



Word Bank (Use each word ONCE)

- | | | | |
|----------------|------------------|---------------------|-------------------|
| A. Zhou | B. coexistence | C. non-interference | D. non-aggression |
| E. sovereignty | F. major-country | G. multifaceted | H. community |
| I. reform | J. benefit | | |

(1) The Five Principles of Peaceful Coexistence were proposed by Premier _____ Enlai in 1953.

(2) The principle of mutual _____ means countries must not interfere in each other's domestic affairs.

(3) The principle of mutual _____ means countries must not militarily attack each other.

(4) The principle of peaceful _____ means countries of different systems can live alongside each other without war.

- (5) The principle of mutual respect for _____ means all countries have equal sovereign rights regardless of size.
- (6) The principle of equality and mutual _____ means both sides must gain from any agreement.
- (7) During China's _____ and Opening-up era (1984+), 'Peace and Development' became the foreign policy focus.
- (8) In the 21st century, China adopted _____ diplomacy building ties with major powers, neighbours, and developing countries.
- (9) In the 21st century, China also adopted _____ diplomacy maintaining relations across multiple types of countries simultaneously.
- (10) The 'community with a shared future for humankind' is China's 21st century foreign policy _____.

Q091 [Case Study] Read the following carefully and answer ALL questions below.

In 1953, China's Premier Zhou Enlai met with a delegation from India to discuss trade and border relations. During these meetings, he proposed the Five Principles of Peaceful Coexistence principles that would later become foundations of international law and be endorsed by the United Nations.

In the 1980s and 1990s, as China undertook its Reform and Opening-up, it needed a stable, peaceful international environment to attract foreign investment and develop its economy. China's foreign policy shifted toward emphasising 'Peace and Development' maintaining good relations with all countries while focusing on domestic modernisation.

By the early 21st century, China had become the world's second-largest economy. At the 18th CPC National Congress in 2012, China proposed the concept of building a 'community with a shared future for humankind' a vision of global cooperation where all countries benefit from each other's development.

China's foreign policy today uses 'major-country diplomacy' and 'multifaceted diplomacy', maintaining relationships with major powers (US, Russia), neighbouring countries (ASEAN, Central Asia), and developing countries (Africa, Middle East) through frameworks including the Belt and Road Initiative.

- (a) Using paragraph 1, name THREE of the Five Principles of Peaceful Coexistence. State what each one means. (6 marks)

 Hint: Choose 3 from: mutual respect for sovereignty, mutual non-aggression, non-interference, equality and mutual benefit, peaceful coexistence. Define each in plain language what does it mean in practice?

- (b) Using paragraphs 1 and 2, state why China's foreign policy changed to 'Peace and Development' in the 1980s. Name ONE internal factor that made peace important. (4 marks)

 Hint: 1953: protect sovereignty of new nations from colonialism. 1980s: China needed foreign investment and trade for modernisation conflict would scare away investors and disrupt economic development.

(c) Using paragraph 3, state why China proposed the 'community with a shared future for humankind' in 2012. State ONE difference from the original Five Principles. (4 marks)

 Hint: 2012: China was now a major power (world's 2nd largest economy) → could take a more active global leadership role. Five Principles were DEFENSIVE (protect sovereignty). 'Community with shared future' is PROACTIVE China as a builder of global cooperation.

(d) Using paragraph 4, state what 'multifaceted diplomacy' means. Name the THREE groups of countries China builds relationships with. (4 marks)

 Hint: Major powers (US, Russia) = global stability, major economic partners. Neighbouring countries (ASEAN) = regional peace, trade, BRI connectivity. Developing countries (Africa) = raw materials, markets, political support in UN votes.

(e) State whether the Five Principles are still relevant today. Give ONE reason from the paragraphs to support your answer. (4 marks)

 Hint: Incorrect: The Five Principles are still referenced in Chinese diplomacy and are now part of international law. However, they have been SUPPLEMENTED, not replaced, by 'Peace and Development' and 'community with a shared future'. Each era built on the previous one.

Topic 3.2D Belt and Road Initiative (BRI)

Q092 [Multiple Choice] The Belt and Road Initiative was proposed by President Xi Jinping in which year, and where?

- A. 2010, during a UN General Assembly speech
- B. 2013, during state visits to Kazakhstan and Indonesia
- C. 2008, at the Beijing Olympics opening ceremony
- D. 2017, during the first Belt and Road Forum in Beijing

Q093 [Multiple Choice] Which of the following are among the FIVE key focuses (Five Connectivities) of the BRI?

- i) Policy Coordination
- ii) Facilities Connectivity (railways, ports, highways)
- iii) Military Alliance
- iv) People-to-people Bonds (cultural exchange, scholarships)

- A. i, ii and iv only
- B. i, ii and iii only
- C. i, ii, iii and iv
- D. ii and iv only

Q094 [Multiple Choice] Italy withdrew from the BRI in December 2023. Which of the following MOST accurately explains the reason?

- A. Italy was expelled by China for violating BRI cooperation terms
- B. Italy felt the BRI brought no significant economic benefit; its trade deficit with China exceeded €40 billion
- C. Italy decided to form its own trade initiative, replacing BRI
- D. The EU passed a law banning EU member states from participating in BRI

Q095 [Multiple Choice] Which of the following CORRECTLY explain how BRI strengthens China's resource security?

- i) BRI builds overland oil and gas pipelines that bypass maritime chokepoints like the Strait of Malacca
- ii) BRI's Gulf of Aden escort missions protect Chinese shipping from piracy
- iii) BRI creates FTZs inside China that remove all import duties on oil and gas
- iv) BRI helps China build military bases near oil-producing regions

- A. i and ii only
- B. i, ii and iii only
- C. i and iv only
- D. i, ii, iii and iv

Q096 [Multiple Choice] In October 2023, a new high-speed railway officially started operation in Indonesia, built using Chinese standards and technology. Under which of the Five Connectivities does this project fall?

- A. Policy Coordination
- B. Facilities Connectivity
- C. Unimpeded Trade
- D. People-to-people Bonds

Q097 [Multiple Choice] As of August 2023, how many countries had signed BRI cooperation agreements with China?

- A. 88 countries
- B. 120 countries
- C. 152 countries
- D. Over 190 countries more than the UN has members

Word Bank: (Use each word ONCE. Each answer is ONE word only.)



Word Bank(Use each word ONCE)

- | | | | |
|-----------------|----------|--------------|-----------------|
| A. Xi | B. Silk | C. Maritime | D. coordination |
| E. connectivity | F. trade | G. financial | H. bonds |
| I. resource | J. debt | | |

(1) The BRI was proposed by President____ Jinping in 2013.

- (2) The 'Belt' refers to the _____ Road Economic Belt, a land-based route to Central Asia and Europe.
- (3) The 'Road' refers to the _____ Silk Road (21), a sea-based route through the South China Sea and Indian Ocean.
- (4) The first of the Five Connectivities is Policy _____ working out regional cooperation plans.
- (5) The second is Facilities _____ building railways, highways, ports, and airports.
- (6) The third is Unimpeded _____ removing trade barriers and building free trade zones.
- (7) The fourth is _____ Integration monetary coordination and deepening financial cooperation.
- (8) The fifth is People-to-people _____ cultural exchanges, scholarships, academic programmes.
- (9) BRI strengthens _____ security by building overland pipelines that bypass the Strait of Malacca and Strait of Hormuz.
- (10) When a country cannot repay BRI loans and loses sovereignty over assets to China, this is called a _____ trap.

Q098 [Case Study] Read the following carefully and answer ALL questions below.

By 2023, trade between China and BRI countries reached RMB 19.5 trillion 46.6% of China's total foreign trade. As of August 2023, 152 countries and 32 international organisations have signed BRI cooperation agreements with China. The China-Europe Railway Express has operated over 77,000 trains as of October 2023, connecting 217 cities in 25 countries; it has transported 7.31 million TEUs of goods with total value exceeding USD 340 billion.

However, just two months later, Italy announced it would withdraw from the BRI in December 2023. Italy was the only G7 nation to have joined the BRI in 2019. Italian Prime Minister Meloni stated that Italy's exports to China had grown only slightly (from €13bn to €16.4bn), while Chinese exports to Italy had nearly doubled (from €31.7bn to €57.5bn), creating a trade deficit exceeding €40 billion. US and NATO allies had also pressured Italy to reduce ties with China.

However, BRI faces challenges. Italy, the only G7 member to join BRI, withdrew in December 2023 stating that BRI had not brought significant economic benefits. Italy's trade deficit with China exceeded €40 billion. In addition, China implemented stricter investment controls in recent years, withdrawing from airport construction projects in Cambodia in 2021–2022, which caused land conflicts and disruption to local communities.

The BRI also strengthens China's national security. It helps resource security by building land-based pipelines that reduce dependence on maritime chokepoints such as the Strait of Malacca and Strait of Hormuz. The Gulf of Aden escort missions, carried out since 26 December 2008, safeguard military security and overseas interests security 45 batches, 35,000+ military personnel, 7,200+ vessels escorted as of 2023. The Jakarta-Bandung High-Speed Railway in Indonesia, which officially started operation in October 2023, was the first HSR outside China built using Chinese standards and technology.

(a) Using paragraph 1, name TWO economic achievements of the BRI. State ONE piece of data for each. (4 marks)

 Hint: Achievement 1: China-Europe Railway Express 77,000 trains, 217 cities, 25 countries → faster trade routes.
Achievement 2: Trade volume = RMB 19.5 trillion, 46.6% of China's trade → economic integration.

(b) Using paragraph 2, state (i) the main economic reason Italy withdrew from the BRI and (ii) the political reason. (4 marks)

 Hint: Economic: trade deficit >€40bn; Italy's exports barely grew while China's doubled. Political: US/NATO pressure to reduce ties with China.

(c) Using paragraph 3, state what the 'debt trap' means. State what happened to Sri Lanka's Hambantota Port. (4 marks)

 Hint: Sri Lanka couldn't repay loans → forced to lease port to Chinese company for 99 years. Loss of sovereignty over strategic infrastructure to a foreign country.

(d) Using paragraph 4, state TWO genuine benefits the BRI has brought. State whether each is economic or cultural. (3 marks)

 Hint: Jakarta HSR = economic (faster transport, development). HK scholarship = cultural (education, people-to-people). Infrastructure for developing countries = economic (access to finance they couldn't get elsewhere).

(e) State TWO opportunities and TWO challenges of the BRI. State ONE overall judgment of whether BRI benefits participating countries. (7 marks)

 Some sources contain misleading or incomplete data. Read critically.

Source B BRI Infrastructure Showcase				
Project	Country	Investment	Completion / Status	Impact
Jakarta-Bandung HSR	Indonesia	Joint venture: Indonesian state enterprise + China Railway	Officially started Oct 2023	First HSR outside China using Chinese standards; genuine infrastructure development benefit
China-Europe Railway Express	25 countries in Europe	Ongoing since 2011	77,000+ trains, 217 cities, 7.31m TEUs, USD 340bn+ total value (as of Oct 2023)	Ensures supply chain stability between China and Europe
Italy withdrawal	Italy (only G7 member to join)	Joined 2019; withdrew Dec 2023	Exports: Italy → China €13 → 16.4bn; China → Italy €31.7 → 57.5bn; deficit >€40bn	Italy felt BRI brought no significant benefit; withdrew while maintaining good relations with China

Cambodia airports	Cambodia	USD 80m (Mondulkiri); Phnom Penh (withdrawn)	2022: Chinese co. withdrew from Mondulkiri; 2021: Phnom Penh lost Chinese funding	Unfinished airports → land conflicts; local families pressured to sell farmland
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Table: BRI Infrastructure Projects

Source C Italy's BRI Trade Data 2019–2023 (€ billion)				
Year	Italy exports to China	China exports to Italy	Italy's Trade Deficit	Italy's BRI Status
2019	13.0	31.7	–18.7	Just joined BRI (2019)
2020	12.8	28.5	–15.7	Member
2021	14.9	37.2	–22.3	Member
2022	16.0	52.0	–36.0	Member
2023	16.4	57.5	–41.1	WITHDREW (Dec 2023)

Table: Italy–China Trade while Italy was BRI member

(a) Using Source A, calculate the percentage-point increase in BRI countries' share of China's total foreign trade from 2019 to 2023. What does this trend suggest about the BRI's impact on China's trade? (3 marks)

💡 $46.6\% - 41.5\% = 5.1$ percentage points. The increasing share shows China is integrating more with BRI countries reducing dependence on Western markets.

(b) Using Source B, explain how the Hambantota Port in Sri Lanka demonstrates the 'debt trap' concern. How is this different from the Jakarta-Bandung HSR? (4 marks)

💡 Hambantota: couldn't repay → 99-year lease (loss of sovereignty). Jakarta HSR: opened successfully, reducing travel time from 3h to 45min a genuine development success. Same type of project (infrastructure), different outcomes.

(c) Using Source C, describe the trend in Italy's trade deficit with China from 2019 to 2023. Calculate the increase in the deficit from 2019 to 2023. Does the data support Italy's decision to withdraw from the BRI? (4 marks)

💡 Deficit grew from –18.7bn to –41.1bn = increase of €22.4bn. Italy's exports barely grew (+€3.4bn) while China's exports nearly doubled (+€25.8bn). Yes, the data does support withdrawal from an Italian economic perspective.

(d) A Chinese government official argues: 'The data in Source A proves BRI is successful.' An Italian minister argues: 'Source C proves BRI only benefits China.' Using ALL THREE sources, evaluate both claims. Which claim is better supported by the evidence? (7 marks)

 Chinese official: Source A shows BRI trade growing for China. But this doesn't prove BRI is equally good for ALL members. Source B shows genuine infrastructure benefits. Italian minister: Source C supports Italy's experience. But Source B shows Indonesia and Pakistan benefiting. Neither claim is fully right the BRI's impact varies significantly by country. This is the key insight.

Q100 [Data-Based Question]Study ALL sources carefully. Answer the questions that follow.

 Some sources contain misleading or incomplete data. Read critically.

Source D Gulf of Aden Escort Missions China's Anti-Piracy Operations		
Metric	Statistics	Significance
Task force batches deployed	45 batches (since Dec 2008)	Sustained commitment over 15+ years
Military personnel deployed	35,000+ cumulative	Large-scale operation
Vessels escorted	7,200+ (Chinese + foreign)	Benefits international shipping
Countries' ships protected	100+ nationalities	Global public good, not just China
Location	Gulf of Aden , off Somalia	Key shipping lane connecting Indian Ocean to Red Sea

Table: China's Gulf of Aden Escort Missions (as of 2023)

Source E BRI Cultural Exchange Data		
Programme	Scale	Purpose
Silk Road Chinese Government Scholarship	Students from BRI countries study in China	Academic exchange; deepen understanding of China
HK Belt and Road Scholarship	10 awardees (2016/17) → 99 awardees (2021/22)	Attract BRI students to HK
Belt and Road News Network	109 countries, 238 media outlets (2023)	Promote BRI narrative globally
'Building Dreams on the Silk Road' (Youth Programme)	Multi-country youth exchange	Build next-generation BRI partnerships
MoU on Higher Education Recognition	45 countries/regions	Mutual recognition of university qualifications

Table: BRI Cultural Exchange Programmes

(a) Using Source D, explain how China's Gulf of Aden escort missions strengthen China's national security under the BRI. In your answer, mention the Strait of Malacca and explain why maritime security matters for China. (4 marks)

 Escort missions protect Chinese shipping in a key lane connecting Indian Ocean to Red Sea. China's oil from Middle East must pass through the Strait of Malacca. Any disruption threatens China's energy supply hence escort missions are part of resource/maritime security.

(b) Using Source D, a student argues that China's escort missions are purely self-interested. Evaluate this claim using specific data from Source D. (3 marks)

 Self-interested: yes, China protects its own ships. NOT purely self-interested: 7,200+ vessels escorted include 100+ nationalities of foreign ships. This is a global public good. Claim is partially correct but ignores the broader benefit.

(c) Using Source E, explain how the HK Belt and Road Scholarship demonstrates the 'People-to-people Bonds' key focus of BRI. What specific change does the data show between 2016/17 and 2021/22? (3 marks)

 People-to-people Bonds = cultural/educational exchange. Scholarship grew from 10 to 99 awardees a 9.9× increase. This shows increasing cultural integration between HK and BRI countries.

(d) Using BOTH sources, explain how the BRI serves THREE different aspects of China's national interests simultaneously. For EACH aspect, state which source supports it and explain the link. (6 marks)

💡 (1) National security: Source D escort missions protect maritime routes. (2) Cultural influence: Source E scholarships and news network build goodwill. (3) Economic development: Source A (from previous DBQ) trade with BRI countries grew to 46.6% of China's total. Present these as three distinct dimensions.

ANSWERS (Self-check after completing all questions)

Reference answers only. For exams: use full sentences, cite specific data, structure long answers with TPEC (Topic-Point-Evidence-Comment).

3.1A Trade Basics

Q001. MC: Invisible trade?

→ B Trade in services such as banking, insurance, and tourism. (A is visible trade; C is transport logistics = service but 'air freight' describes physical goods movement; D is a trap 'cannot be seen at the border' is misleading)

Q002. MC: Country X exports rice from X's perspective?

→ C Export trade: Country X is selling goods TO Country Y (another country)

Q003. MC Type1: Specialised production statements?

→ B ii and iii only. i is WRONG: specialised = produce what you do BEST, not only goods with 'natural' advantage. iv is WRONG: specialised production benefits countries differently based on comparative advantage.

Q004. MC Type1: Challenge + group most affected?

→ B only Challenge: Labour unemployment ; group: factory workers who lose jobs when local industries fail due to cheaper imports.

Q005. MC: HK re-export?

→ C Re-export trade using HK as an entrepot: HK re-sells imported goods to European buyers without producing them itself.

Q006. MC: NOT an advantage of world trade?

→ C 'Eliminates unemployment in ALL countries' is WRONG. Trade may CAUSE unemployment in non-advantageous industries. This is a TRAP option.

Q007. Fill-in-blank answers (3.1A)

- (1) Visible trade
- (2) Invisible trade
- (3) Export trade / Import trade
- (4) Re-export trade
- (5) Specialised production
- (6) Natural resources / Artificial resources
- (7) Unfair trade

Q008. Matching (3.1A)

- (i) → D Visible Trade = physical goods
- (ii) → B Invisible Trade = services
- (iii) → A Specialised Production = lowest cost; export surplus
- (iv) → C Re-export Trade = re-selling to third country
- (v) → F Export Trade = selling TO other countries
- (vi) → E Unfair Trade = weaker countries disadvantaged

Q009. Short: Specialised production

→ Specialised production : a country focuses on producing goods it can produce at the LOWEST possible cost, achieving maximum efficiency. It then EXPORTS surplus goods and IMPORTS goods it cannot produce cheaply. This creates mutual benefit each country gets what it needs at lower cost than producing everything itself.

→ Example: China specialises in manufacturing electronics (low production cost → exports globally); New Zealand specialises in agricultural products (ideal climate → exports dairy/meat). Both countries benefit from lower prices and greater variety.

Q010. Short: Export vs re-export + HK

- Export trade : selling goods PRODUCED in your own country to other countries (e.g. China manufactures smartphones and exports them to Europe).
- Re-export trade : buying goods from Country A and re-selling them to Country B WITHOUT significant processing (e.g. HK imports goods from Mainland China and re-sells to European buyers).
- HK is famous for re-export because: its deep harbour , world-class HKIA (No. 1 cargo throughput globally), free port status, and strategic location make it the ideal entrepot between Mainland China and global markets.

Q011. Short: TWO advantages + TWO challenges

- Advantages: ① Production efficiency specialisation allows countries to produce at lowest cost; e.g. China produces electronics at scale for the world ② Consumer choices people access goods from around the world at competitive prices
- Challenges: ① Unemployment non-advantageous industries lose jobs when cheaper imports arrive ② Unfair trade developing nations have less bargaining power; their interests are often ignored in negotiations

Q012. Guided Case: Economic principle

- (a) Specialised production : each country produces what it can make at lowest cost and exports surplus. Alpha = agriculture (climate advantage); Beta = pharmaceuticals (technology advantage).
- (b) Country Alpha: accesses affordable pharmaceuticals it cannot produce; improves public health. Country Beta: accesses affordable cocoa and coffee it cannot grow cheaply; lower consumer costs and food prices.
- (c) Unfair trade challenge : if Beta's farmers lobby for import barriers, Alpha has less political power to prevent this smaller/weaker economy has less WTO bargaining power. Most affected: Alpha's agricultural workers would lose export income.
- (d) Alpha could file a WTO complaint against any import barrier (multilateral negotiation); diversify export markets to reduce dependence on Beta; develop domestic processing industries to add value and reduce pure commodity dependence.

3.1B External Trade

Q013. MC: China's export rank?

- A First (No. 1). TRAP: Option B adds 'overtaken by the US' this is FALSE. China has been No. 1 since 2009.

Q014. MC: What is CEPA?

- B A 2003 agreement giving HK goods preferential access to the Mainland market. TRAP: A describes RCEP (2020, 15 countries). C describes Free Trade Zones. D is a BRI-related trap.

Q015. MC Type1: HKIA statements?

- A i and ii only. iii is WRONG: HKIA ranked No. 1 for CARGO throughput, NOT passenger volume. iv is WRONG: HKIA was established in 1998, not as part of GBA.

Q016. MC Type1: HK trade opportunities?

- A i and iii only. ii (COVID-19) is a CHALLENGE, not an opportunity. iv (US trade protectionism) is a CHALLENGE, not an opportunity.

Q017. MC: RCEP description?

- C The world's largest free trade area signed in 2020 with 15 countries. TRAP: A (bilateral 2003 agreement) describes CEPA, not RCEP.

Q018. MC: De-Chinaisation?

→ B Foreign companies moving production OUT of China to other countries (Vietnam, Mexico). TRAP: A, C, D all describe Chinese actions against others de-Chinaisation refers to what OTHERS do in response to China's trade position.

Q019. *Fill-in answers (3.1B)*

- (1) Trading and logistics
- (2) CEPA
- (3) RCEP (15 countries)
- (4) Free Trade Zone(s)
- (5) Cargo throughput
- (6) Entrepot
- (7) Greater Bay Area
- (8) Supply chain(s)
- (9) Trade protectionism
- (10) De-Chinaisation

Q020. *Short: RCEP + opportunity*

→ RCEP (Regional Comprehensive Economic Partnership) was signed in 2020 the world's LARGEST free trade area with 15 members: China, ASEAN×10, Japan, South Korea, Australia, New Zealand.
→ Opportunity for China: RCEP removes/reduces tariffs among member states → Chinese goods get cheaper, easier access to 15 country markets. As China is No. 1 global exporter (USD 3,379bn in 2023), RCEP amplifies this advantage significantly.

Q021. *Short: THREE challenges + data for one*

→ ① Global trade slowdown : COVID-19 disrupted supply chains; China's exports fell 11.4% (Q1 2020); HK total trade -2.5% in 2020
→ ② Global political instability : Russia-Ukraine War (2022) raised wheat prices ~30% and energy costs → global inflation → reduced consumer purchasing power globally
→ ③ Trade protectionism : US 25% tariffs on USD 250bn+ of Chinese goods; de-Chinaisation accelerating (factories moving to Vietnam/Mexico) threatens China's export revenues and employment

3.1C Trade Protection Policies

Q022. *MC: Government gives USD 50 per tonne exported?*

→ D Export subsidy : cash given to exporters to lower their selling price. TRAP: A (import restriction) and B (import quota) are import policies, not export policies.

Q023. *MC: Limiting steel imports to 500k tonnes/year?*

→ C Import quota : quantitative limit on imports. TRAP: B (import duties) is a PRICE mechanism, not a quantity mechanism. The key word 'quantity' identifies this as a quota.

Q024. *MC: WTO fact?*

→ B WTO replaced GATT in 1995 and HQ is in Geneva, Switzerland. TRAP: A (Brussels) is WRONG WTO HQ is in Geneva. C (founded 1948) describes GATT, not WTO. D gives WTO a power it doesn't have (imposing embargoes).

Q025. *MC Type1: Valid reasons for trade protection?*

→ A i, ii and iii only. iv is WRONG: trade protection REDUCES variety (it makes imports more expensive/scarce) the OPPOSITE of increasing consumer choice.

Q026. *MC Type1: India's hygiene standards what type + feature?*

→ B only Import restrictions : uses STANDARDS (not quantity limits) to reduce imports. TRAP: A describes import quota (quantity limit) wrong type. Hygiene standards are a classic form of import restrictions.

Q027. *MC: HK duties on?*

→ C Liquor , tobacco , hydrocarbon oil , and methyl alcohol . These are the ONLY four categories of goods on which HK levies duties as a free port.

Q028. *Fill-in answers (3.1C)*

- (1) Export subsidies
- (2) Duty / tariff
- (3) Quota
- (4) Import restrictions
- (5) Embargo
- (6) Bilateral
- (7) Multilateral
- (8) WTO / trade liberalisation
- (9) Economic sanctions

Q029. *Guided Case: India toy ban*

- (a) Embargo (complete ban). Different from import quota: quota LIMITS quantity but allows some imports; embargo BANS imports completely.
- (b) Real reason: protect local toy manufacturers Chinese toys had 50% market share, threatening Indian producers. The safety concern is a convenient official justification called 'import restrictions' as a cover for economic protectionism.
- (c) Consequences: Indian consumers higher prices (local toys more expensive) and fewer choices. Chinese manufacturers lost ~50% of India's USD 2.5bn market; had to find alternative markets.
- (d) Responses: ① File WTO complaint argue India's ban violates non-discrimination principles; WTO can authorise retaliatory measures ② Bilateral negotiation offer safety certification, invite India to test Chinese toys and adjust standards together.
- (e) Evaluation: Yes, consumers harmed (prices ↑, choices ↓). But Indian toy industry gained short-term market share. Long-term: Chinese manufacturers bypassed ban via Vietnam/Bangladesh suggesting protection was only temporarily effective. Overall: consumers paid the biggest price with limited long-term industry benefit.

3.1D Trade Conflicts & Economic Security

Q030. *MC: Industry most affected when trade volume drops?*

- C Transport and logistics industry : when goods move less, logistics companies carry less cargo and suffer revenue losses directly.

Q031. *MC: Direct impacts of US-China trade conflict?*

- A i, ii and iii only. iv is WRONG: the WTO does NOT automatically impose sanctions the WTO dispute settlement process takes time and requires a formal complaint, not automatic action.

Q032. *MC: Economic security definition?*

- B A country's ability to eliminate risks, resist external shocks, and maintain healthy economic growth. TRAP: A (trade protection on all competitors) is not economic security it would cause a trade war. C (military strength) is military security, not economic.

Q033. *MC Type1: Ways China can safeguard economic security?*

- A i, ii and iv only. iii is WRONG: imposing embargoes on ALL countries that impose tariffs would massively disrupt China's own trade it would destroy China's exports more than protect it.

Q034. *MC: Soybeans from Brazil which impact?*

- B Rising cost of consumer goods: China had to pay more for Brazilian soybeans (approximately 8% higher), passing costs to Chinese consumers who buy tofu, cooking oil etc.

Q035. *MC: 'Development and Security must go hand in hand'?*

→ B Economic development and national security are mutually dependent and must be pursued together: achievements of development consolidate security; a secure environment enables development. TRAP: A (military) is military security, not the intended meaning.

Q036. *Fill-in answers (3.1D)*

- (1) Trade volume / logistics
- (2) De-Chinaisation
- (3) Investor confidence
- (4) Investment risk
- (5) Consumer goods
- (6) Economic development
- (7) Multilateral cooperation
- (8) Domestic demand
- (9) Diversify
- (10) Supply chains

Q037. *Guided Case: Trade Conflicts*

- (a) Impact 1: Rising consumer goods costs China paid ~8% more per tonne of soybeans from Brazil → tofu/cooking oil prices rose for Chinese consumers. Impact 2: Investment risk ↑ Shanghai Stock Exchange fell 25%+ in 2018 as investor confidence collapsed.
- (b) Economic security definition: country can eliminate risks, resist external shocks, ensure healthy development. De-Chinaisation threatens this: factory relocation → tax revenue ↓, exports ↓, employment ↓, technological capability weakens → long-term economic strength compromised.
- (c) COVID-19 = demand collapse + supply chain disruption (factories closed, shipping delayed) → China exports -11.4% Q1 2020. Russia-Ukraine = price shock (food and energy inflation) → reduced global purchasing power → people buy less Chinese goods.
- (d) Paragraph 4 shows resilience (5.0% GDP growth 2023) BUT this does NOT mean security is not threatened: de-Chinaisation is ongoing; trade war tariffs remain; supply chain vulnerability still exists. The GDP figure shows China can cope SHORT-TERM, but long-term risks remain.
- (e) Measure 1: Diversify import sources for key commodities (e.g. soybean from Brazil AND Argentina AND Ukraine) → reduces dependence on any single supplier if tariffs are imposed. Measure 2: Develop domestic chip/semiconductor industry (e.g. SMIC) → reduces reliance on US chips if technology export controls escalate.

3.2A Constitution & Institutions

Q038. *MC: Constitution's role?*

→ B Has the highest legal effect; all laws must comply; stipulates basic policy, systems, and political structure. TRAP: A is too narrow (only rights/duties). C (foreign policy) is a trap the Constitution covers domestic law. D is WRONG: Constitution is NOT enacted by the State Council.

Q039. *MC: Highest state organ + relationship?*

→ B The NPC: all other institutions are CREATED by it, ACCOUNTABLE to it, and SUPERVISED by it. TRAP: A (State Council) is administrative, not the supreme organ. C (President) is head of state but created by NPC. D (CMC) only has military authority.

Q040. *MC Type1: NPC powers?*

→ A i, ii and iv only. iii is WRONG: the CMC, not the NPC, directly commands the PLA. This is a common trap the NPC CREATES the CMC but does not itself command the military.

Q041. *MC: NPCSC exercises powers when?*

→ B When the NPC is not in session. TRAP: A (President absent) is wrong NPCSC acts independently of President's travel. C (General Secretary orders) is wrong the NPCSC operates under the Constitution, not CPC orders. D is wrong emergency powers go through the State Council/President.

Q042. *MC Type1: President eligibility?*

→ A i, ii and iii only. iv is WRONG: there is NO constitutional requirement to be a CPC member. In practice the President is always CPC, but it is NOT a constitutional requirement this is a key distinction and a common exam trap.

Q043. MC: Anti-corruption institution?

→ C National Commission of Supervision (NCS) : the highest SUPERVISORY organ; investigates embezzlement, bribery, and abuse of power. TRAP: B (Procuratorate) prosecutes crimes but does not investigate political corruption. A (Court) tries cases.

Q044. MC Type1: Supreme People's Court?

→ A i, ii and iii only. iv is WRONG: approving ARRESTS is the function of the Supreme People's PROCURATORATE, not the Court. Court = tries cases; Procuratorate = investigates and approves arrests.

Q045. MC: Commands PLA?

→ D Central Military Commission (CMC) : the highest military leadership; commands PLA, Armed Police Force, and Militia. TRAP: B (State Council) manages civilian administration. C (NPC) created the CMC but does not command it.

Q046. Fill-in answers (3.2A)

- (1) Constitution
- (2) National People's Congress
- (3) NPCSC
- (4) State Council
- (5) CMC
- (6) National Commission of Supervision
- (7) Supreme People's Court
- (8) Supreme People's Procuratorate
- (9) Legislative power
- (10) Appointment power

Q047. Short: FOUR NPC powers + examples

- ① Legislative power : amend Constitution, enact basic laws NPC amended Constitution in 2018
- ② Supervisory power : oversee enforcement of Constitution
- ③ Power to decide on major issues : approve national economic plan and state budget NPC approved 2023 defence budget (↑7.2%)
- ④ Appointment and removal power : elect President/VP, approve Premier NPC elected Xi Jinping as President and approved Li Qiang as Premier (March 2023)

Q048. Guided Case: NPC, NPCSC, NCS

- (a) TWO NPC powers: ① Appointment power elected Xi Jinping as President AND approved Li Qiang as Premier ② Power to decide on major issues approved national economic plan AND defence budget (both demonstrated in one session).
- (b) NPCSC: is the PERMANENT ORGAN of the NPC; when NPC is not in session, NPCSC exercises NPC powers. Appointment of Defence Minister = appointment power . Since NPC was not in session in October 2023, NPCSC exercised this power as a subordinate body filling vacancies.
- (c) NCS investigated Qin Gang. Violation: 'serious violations of discipline and law' = duty-related violations (likely bribery or abuse of power). NCS power: independently exercise supervisory power without interference from admin organs.
- (d) NCS INVESTIGATES and gathers evidence; Supreme People's Procuratorate then PROSECUTES (files charges, approves arrests). Sequence: NCS investigates → refers to Procuratorate → Procuratorate prosecutes → Supreme Court tries the case.
- (e) Argument is incorrect: the NPCSC exists precisely to handle business (including appointments) when the NPC is not in session. The system is designed for efficiency not requiring the full 2,900+ deputies to convene for every appointment. The October 2023 case proves the system works.

3.2B CPC, Multiparty & CPPCC

Q049. MC: CPC description?

→ B The sole governing party and supreme leadership of the PRC. TRAP: A (compete for votes) is how Western parties work, not the CPC. C (advisory body) is wrong CPC holds real power. D (governs 8 provinces) is completely fabricated.

Q050. MC Type1: 8 participating parties?

→ A i and ii only. iii is WRONG: they do NOT compete in elections this is a common and important trap. iv is WRONG: they participate through CPPCC channels, not by independently introducing legislation.

Q051. MC: CPPCC description?

→ B Organisational form of political consultation and a patriotic united front organisation . TRAP: A (highest state organ) = NPC, not CPPCC. C (military advisory) = CMC. D (economic planning) = State Council/NDRC.

Q052. MC Type1: CPPCC functions?

→ A i, ii and iii only. iv is WRONG: the CPPCC CANNOT amend the Constitution that is a power of the NPC. This is a critical trap in exams.

Q053. MC: Cooperation principle?

→ A 'Long-term coexistence, mutual oversight, sincerity, and sharing the rough and smooth.' TRAP: B describes Western liberal democracy. C and D completely misrepresent the system.

Q054. MC: CPPCC consultation timing?

→ B BEFORE decisions are made and before they are implemented. This is the key distinguishing feature of political consultation: it happens PRE-DECISION, not post-decision.

Q055. Fill-in answers (3.2B)

- (1) Governing party
- (2) Participating parties
- (3) CPC National Congress
- (4) General Secretary
- (5) Long-term coexistence / oversight
- (6) CPPCC / patriotic united front
- (7) Political consultation
- (8) Democratic supervision
- (9) Participation in state affairs

Q056. Guided Case: Multiparty system

→ (a) Chinese Peasants & Workers Democratic Party = PARTICIPATING PARTY : cooperates with CPC in state affairs under CPC leadership; contributes MEDICAL expertise; does NOT hold governing power; NOT an opposition party.

→ (b) Participation in state affairs : Step 1 party conducts field research (study report) in Yunnan. Step 2 discovers illness-caused poverty = 24.4% vs official 13.9%. Step 3 CPPCC compiles into formal proposal . Step 4 submitted to CPC and State Council. Step 5 CPC incorporated findings into revised strategy. Shows participating parties actively shaping policy.

→ (c) 10.5 percentage point discrepancy is significant because: if government uses wrong data (13.9%), it under-allocates healthcare resources → fewer people get medical help → more people remain in poverty. The multiparty system allowed specialist expertise to CORRECT government data, improving policy accuracy.

→ (d) Democratic supervision = watching over implementation of existing laws/policies (criticising what is happening). Participation in state affairs = ACTIVELY submitting proposals and recommendations that SHAPE future policy. This case = participation in state affairs (the research changed future policy direction).

→ (e) 'Just for show': FALSE based on this case. The policy DID change due to the party's input real impact. PARTIALLY TRUE: parties cannot force CPC to accept proposals; the CPC ultimately decides. Best answer: the system is NOT merely symbolic parties have genuine influence through expertise and proposals but their influence operates WITHIN CPC leadership, not independently of it.

3.2C Foreign Policy

Q057. MC: *Five Principles proposed by/when?*

→ B Zhou Enlai, 1953. TRAP: A (Mao Zedong, 1949) relates to PRC founding. C (Deng Xiaoping, 1984) relates to Reform era. D (Xi Jinping, 2013) relates to BRI proposal.

Q058. MC: *NOT one of the Five Principles?*

→ D 'Economic assistance to developing countries' is NOT one of the Five Principles. The Five Principles are: mutual respect for sovereignty, mutual non-aggression, non-interference, equality and mutual benefit, peaceful coexistence.

Q059. MC Type1: *Foreign policy evolution?*

→ A i, ii and iii only. iv is WRONG: China's foreign policy HAS changed significantly through three stages (Five Principles → Peace and Development → Community with shared future). This is a very important trap.

Q060. MC: *Major-country diplomacy three groups?*

→ B Major powers, neighbouring countries, and developing countries. TRAP: A (G7, NATO, ASEAN) represents Western-aligned groupings China's diplomacy is explicitly NOT limited to these. D mixes real and fake categories.

Q061. MC: *Community with shared future?*

→ B China's vision of win-win cooperation where all countries work together for mutual benefit. TRAP: A (military alliance) is completely wrong. C (replace UN) is false China supports the UN system. D (rejects Five Principles) is wrong it BUILDS on the Five Principles.

Q062. Fill-in answers (3.2C)

- (1) Zhou Enlai
- (2) Non-interference
- (3) Mutual non-aggression
- (4) Peaceful coexistence
- (5) Sovereignty
- (6) Mutual benefit
- (7) Reform and Opening-up
- (8) Major-country diplomacy / Multifaceted diplomacy
- (9) Community with a shared future for humankind

Q063. Guided Case: *Foreign Policy*

→ (a) THREE principles (any 3): ① Mutual respect for sovereignty = all countries have equal sovereign rights regardless of size ② Non-interference = don't meddle in each other's domestic politics ③ Peaceful coexistence = countries of different systems can live without war

→ (b) Changed because: in 1953, China needed to protect new developing nations from colonialism (defensive). In 1980s, China needed foreign investment for modernisation conflict would deter investors. 'Peace and Development' = China's internal economic development required peace externally.

→ (c) 'Community with shared future' proposed 2012 because: China had become world's 2nd largest economy → could take proactive global leadership role. DIFFERENT from Five Principles: Five Principles were DEFENSIVE (protect sovereignty). 'Community' is PROACTIVE China as global co-builder, not just self-protector.

→ (d) Multifaceted diplomacy: maintaining relationships across multiple types of countries simultaneously. Major powers (US, Russia) = global stability, large trade partners, prevent superpower conflict. Neighbours (ASEAN) = regional peace, trade routes, BRI connectivity. Developing countries (Africa) = raw materials, growing markets, political support in UN votes.

→ (e) Five Principles are NOT irrelevant: they remain part of international law (endorsed by UN); China still references them in diplomatic communiqués; they form the FOUNDATION that later principles built upon. However, they have been SUPPLEMENTED 'Peace and Development' and 'community with shared future' extended their scope. Correct assessment: still relevant but evolved.

3.2D Belt and Road Initiative

Q064. MC: BRI proposed when and where?

→ B 2013, during state visits to Kazakhstan and Indonesia. TRAP: A (2010, UN speech) is fabricated. C (2008, Olympics) is fabricated. D (2017, first forum) is AFTER the proposal the forum came later.

Q065. MC Type1: Five Key Focuses?

→ A i, ii and iv only. iii is WRONG: 'Military Alliance' is NOT one of the Five Connectivities the BRI explicitly emphasises economic and cultural cooperation, NOT military alliances. This is a critical trap.

Q066. MC: Italy withdrew most accurate reason?

→ B Italy felt BRI brought no significant economic benefit; trade deficit exceeded €40bn. TRAP: A (expelled) is false. C (its own initiative) is fabricated. D (EU law) is false no such law exists.

Q067. MC Type1: BRI strengthens resource security?

→ A i and ii only. i: overland pipelines bypass maritime chokepoints correct. ii: Gulf of Aden escort missions protect maritime shipping correct. iii: FTZs don't relate to resource security. iv: China does NOT build military bases near oil regions as part of BRI (this is a trap).

Q068. MC: Jakarta HSR falls under which focus?

→ C Facilities Connectivity : this focus covers railways, highways, ports, and airports. The HSR is clearly a transport infrastructure project.

Q069. MC: Countries signed BRI (Aug 2023)?

→ C 152 countries (plus 32 international organisations). TRAP: D ('over 190 more than UN members') is FALSE and designed to catch students who confuse 'countries' with 'member organisations'.

Q070. Fill-in answers (3.2D)

- (1) Xi Jinping
- (2) Silk Road Economic Belt
- (3) Maritime Silk Road 21
- (4) Policy Coordination / Facilities Connectivity / Unimpeded Trade / Financial Integration / People-to-people Bonds
- (5) Resource security
- (6) Debt trap

Q071. Guided Case: BRI

→ (a) Achievement 1: BRI trade volume = RMB 19.5 trillion (2023), 46.6% of China's total foreign trade; 152 countries and 32 international organisations have signed cooperation agreements. Achievement 2: China-Europe Railway Express 77,000+ trains, 217 cities, 25 countries, USD 340bn+ total value; Jakarta-Bandung HSR (Oct 2023) first HSR outside China using Chinese standards.

→ (b) Main economic reason: trade deficit >€40bn Italy's exports to China grew only slightly (€13 → 16.4bn, + €3.4bn) while China's exports to Italy nearly doubled (€31.7 → 57.5bn, +€25.8bn). Political reason: US and NATO allies pressured Italy to reduce economic ties with China as part of broader Western-China tensions.

→ (c) The 'debt trap' refers to a situation where a BRI-partner country borrows heavily from China for infrastructure but cannot repay, and is then pressured to hand over strategic assets or make political concessions. Italy's experience shows trade deficit risk a country may find BRI trade is heavily tilted in China's favour (e.g. Italy deficit >€40bn). Cambodia's experience shows project withdrawal risk China can pull investment, leaving unfinished infrastructure and social disruption.

→ (d) Gulf of Aden escort missions = military security benefit AND overseas interests security benefit. HK Belt and Road Scholarship = cultural benefit (education exchange for BRI students studying in HK). BRI trade growth = economic security benefit (diversifies China's trade, reduces dependence on any single market). Categories: economic, military, overseas interests, and cultural.

→ (e) BALANCED EVALUATION: Opportunities ① Trade volume with BRI countries grew from RMB 19.5tn (2023) to 19.5tn (2023), 46.6% of China's total foreign trade clear economic integration ② Gulf of Aden escort missions show BRI strengthens military and overseas interests security (45 batches, 35,000+ personnel, 7,200+ vessels) ③ HK Belt and Road Scholarship promotes cultural exchange. Challenges ① Italy's

withdrawal shows BRI does not equally benefit all members (deficit >€40bn) ② Cambodia airport withdrawal shows BRI investment is not guaranteed to stay, causing social disruption. Overall judgment: BRI broadly strengthens China's national security and promotes trade, but faces challenges including unequal trade outcomes for some partners and investment withdrawal. A nuanced answer acknowledges both dimensions.

S.M.C.E.S.P.S.

Citizenship and Social Development (CES)

Secondary 3 | Module 3.1 & 3.2 | Final Examination Practice Paper

Time allowed: 1 hour 30 minutes | Total marks: 80

INSTRUCTIONS TO CANDIDATES

1. Write your Name, Class, and Class Number on the lines below.
2. Answer ALL questions in Sections A, B, and C.
3. Write answers in the spaces provided. For Section A, circle or write the letter of the best answer.
4. All workings and answers must be written in the answer spaces. Answers written elsewhere will not be marked.
5. The diagrams and data in this paper are not necessarily drawn to scale.

Name : _____ **Class :** _____ **Class No. :** _____

SECTION A Multiple Choice

Choose the *BEST* answer for each question. Each correct answer carries 2 marks. 220

1. China ranked _____ as the world's largest merchandise trade exporter in 2023 (WTO data).

A. First (No. 1)	B. Second (No. 2)
C. Third (No. 3)	D. Fifth (No. 5)
2. Which of the following **CORRECTLY** describes an 'embargo'?

A. A tax imposed on imported goods to raise their price	B. A quantitative limit on the amount of goods that can be imported
C. A complete ban on importing specific goods, often for political reasons	D. Cash grants given to exporters to lower their selling price
3. Which of the following statements about the National People's Congress (NPC) are **CORRECT**?
i) The NPC has a 5-year term and holds sessions once per year.
j) The NPC Standing Committee exercises NPC powers when the NPC is in session.
k) All six other central state institutions are created by the NPC.
l) The NPC has the power to elect the President of the PRC.

A. i, iii and iv only	B. i and ii only
C. i, ii, iii and iv	D. i, ii and iii only
4. The CPPCC consults on basic policies:

A. After the NPC has passed a law	B. Before decisions are made and before they are implemented
C. At the same time as NPC plenary voting	D. Only when the CPC specifically requests it
5. Which of the following **BEST** describes the role of the 8 participating parties in China?

A. They compete with the CPC in national elections every 5 years	B. They are banned from participating in any political activities
C. They cooperate with the CPC in state affairs and contribute professional expertise	D. They can independently introduce and pass legislation in the NPC

6. The Five Principles of Peaceful Coexistence were proposed by:

A. President Mao Zedong in 1949

B. Premier Zhou Enlai in 1953

C. President Deng Xiaoping in 1984

D. President Xi Jinping in 2013

7. Which of the following are among the FIVE key focuses (Five Connectivities) of the Belt and Road Initiative?

i) Policy Coordination

ii) Facilities Connectivity

iii) Military Alliance

iv) People-to-people Bonds

A. i, ii and iv only

B. i, ii, iii and iv

C. i and ii only

D. ii and iv only

8. Italy withdrew from the BRI in December 2023. What was the MAIN economic reason?

A. Italy was expelled by China for violating BRI rules

B. Italy decided to join a US-led alternative trade initiative

C. Italy's trade deficit with China exceeded €40 billion despite BRI membership

D. The EU passed a law banning member states from participating in BRI

9. Which institution is the highest SUPERVISORY organ in China, responsible for anti-corruption work?

A. Supreme People's Court

B. Supreme People's Procuratorate

C. National Commission of Supervision (NCS)

D. Central Military Commission (CMC)

10. Hong Kong is a free port. Which of the following does HK levy duties on?

A. All imported goods over HKD 10,000 in value

B. Electronics and textiles

C. Liquor, tobacco, hydrocarbon oil, and methyl alcohol

D. Cars, machinery, and petroleum products

SECTION B Short Questions

Answer ALL questions in this section. Write your answers in the spaces provided.

B1.Study the information below and answer the questions that follow.

Extract A World Trade Volume Growth 2019–2023		
Year	Growth Rate (%)	Key Event
2019	+0.9%	US-China trade tensions
2020	–5.3%	COVID-19 pandemic
2021	+9.8%	Post-pandemic rebound
2022	+3.0%	Russia-Ukraine War
2023	+0.8%	Global economic slowdown

Table: WTO World Trade Volume Growth 2019–2023

(a)Using Extract A, identify the year with the most significant DECLINE in world trade volume. State TWO factors that caused this decline. (4 marks)

(b)Explain what'specialised production' means. How does it enable countries to benefit from world trade even during periods of slower global trade growth? (4 marks)

(c)State ONE advantage AND ONE challenge of world trade for developing countries. Use a specific example for EACH. (4 marks)

B2. Study the following data and answer the questions.

Extract B Recent Trade Protection Events			
Year	Country / Group	Type of Trade Protection	Reason Given
2009	India	Complete ban on Chinese toy imports	Safety standards not met
2018	US	25% tariffs on USD 250bn+ of Chinese goods	Unfair trade practices
2017	UN	Economic sanctions on North Korea	Nuclear weapons programme
2022	US/EU	Economic sanctions on Russia	Military action in Ukraine
2023	EU	Anti-subsidy duties on Chinese electric vehicles	Unfair subsidies by Chinese government

Table: Trade Protection Events 2009–2023

(a) Using Extract B, identify the type of trade protection used by the US in 2018. Explain how this type of protection affects Chinese exporters. (3 marks)

(b) Using Extract B, explain the difference between the trade protection used by India in 2009 and the trade protection used by the UN in 2017. Which type is more severe? Explain your reasoning. (4 marks)

(c) A student claims: 'All the trade protection shown in Extract B is purely for economic reasons.' Evaluate this claim. Is it fully supported by the evidence? (4 marks)

B3.Answer the following questions on China's political structure.

(a)State the FOUR main powers of the National People's Congress (NPC). For EACH power, give ONE specific example of how the NPC has exercised it. *(8 marks)*

(b)Explain the relationship between the NPC and the NPC Standing Committee (NPCSC). What is the constitutional basis for the NPCSC's authority to appoint government ministers when the NPC is not in session? *(3 marks)*

SECTION C Extended Questions

Answer ALL questions in this section. Write your answers in the spaces provided. Marks are awarded for the quality of analysis, use of evidence, and structure of argument.

C1.Study Sources 1, 2 and 3 below and answer ALL questions that follow.

Source 1 US-China Trade War Key Statistics			
Year	US Tariffs on Chinese Goods	China's GDP Growth (%)	Shanghai Stock Exchange (year-end)
2017	None (pre-war)	6.8%	3,307
2018	25% on USD 250bn+ goods	6.6%	2,494 (fell 25%)
2019	25% on USD 360bn+ goods	6.1%	3,050
2020	Tariffs maintained + COVID-19	2.3%	3,473
2021	Tariffs maintained	8.1%	3,640
2022	Tariffs maintained + Russia-Ukraine War	3.0%	3,089
2023	Tariffs maintained	5.0%	2,974

Table: US-China Trade War Impact Data 2017–2023

Source 2 A Comment from a Chinese Economist

'China's economy has shown remarkable resilience. Despite US tariffs, China achieved 5.0% GDP growth in 2023 well above the global average of 3.0%. The trade war has actually accelerated China's efforts to diversify its economy and develop its own high-tech industries, reducing dependence on foreign technology.'

Professor Zhang Wei, Peking University, 2024

Source 3 A Comment from a US Policy Analyst

'The trade war has failed to achieve its goal. Despite 6 years of tariffs, the US trade deficit with China has not permanently reduced it reached USD 383 billion in 2022. Meanwhile, American consumers are paying higher prices for Chinese goods. The tariffs have cost the US economy more than they have cost China.'

Dr. Sarah Johnson, Brookings Institution, 2024

(a)Using Source 1, describe the trend in China's GDP growth from 2017 to 2023. In which year did the most significant drop occur? Identify TWO factors that explain this drop. (4 marks)

(b)Using Source 1, explain how the Shanghai Stock Exchange data supports the view that trade conflicts increase investment risks. Use specific figures in your answer. (4 marks)

(c) The economist in Source 2 and the analyst in Source 3 offer different views on the outcome of the US-China trade war. Summarise the main argument of EACH, then evaluate which view is better supported by the evidence in Source 1. (8 marks)

(d) Despite the trade war, China's GDP grew by 5.0% in 2023. Does this mean China's economic security is not threatened? Using ALL THREE sources and your own knowledge, evaluate this claim. In your answer, define 'economic security' and explain whether you agree or disagree. (8 marks)

C2.Study Sources 4, 5 and 6 below and answer ALL questions that follow.

Source 4 China–BRI Countries Trade Volume 2019–2023

Year	Trade with BRI Countries (RMB trillion)	% of China's Total Trade	Year-on-year growth
2019	13.8	41.5%	
2020	14.2	42.8%	+2.9%
2021	16.0	43.8%	+12.7%
2022	17.5	45.4%	+9.4%
2023	19.5	46.6%	+2.8%

Table: China–BRI Trade Volume 2019–2023

Source 5 BRI: Two Contrasting Case Studies

Project	Country	Investment	Outcome	Assessment
Jakarta-Bandung HSR	Indonesia	~USD 7bn	Opened Oct 2023; travel time 3h → 45min	Genuine development success; boosted Indonesia's infrastructure
Hambantota Port	Sri Lanka	USD 1.1bn	Couldn't repay → 99-year lease to China (2017)	Cited as 'debt trap'; loss of sovereignty over strategic port

Table: BRI Case Studies: Success vs Concern

Source 6 Italy-China Trade Data During BRI Membership (2019–2023)

Year	Italy → China (€bn)	China → Italy (€bn)	Trade Deficit (€bn)
2019 (joined BRI)	13.0	31.7	–18.7
2020	12.8	28.5	–15.7
2021	14.9	37.2	–22.3
2022	16.0	52.0	–36.0
2023 (withdrew)	16.4	57.5	–41.1

Table: Italy–China Trade During BRI Membership

(a) Using Source 4, calculate the percentage-point increase in BRI countries' share of China's total foreign trade from 2019 to 2023. What does this trend suggest about the BRI's role in China's foreign trade strategy? (3 marks)

(b) Using Source 5, compare the Jakarta-Bandung HSR and the Hambantota Port as examples of BRI infrastructure projects. What factor explains the difference in their outcomes? (4 marks)

(c) Using Source 6, explain why Italy decided to withdraw from the BRI in December 2023. In your answer: (i) state the economic evidence supporting Italy's decision; (ii) suggest ONE factor beyond economics that may have influenced Italy's decision. (4 marks)

(d) Using ALL THREE sources and your own knowledge, evaluate whether the Belt and Road Initiative is a net benefit or a net risk for participating countries. Your answer should consider BOTH opportunities and challenges, and conclude with a clear judgment supported by evidence. (9 marks)

EXAM PRACTICE MODEL ANSWERS

Model answers for exam practice only. Use TPEC structure in exams: Topic → Point → Evidence → Comment.

Section A MC Answers. *Correct answers:*

- A1=A
- A2=C
- A3=A
- A4=B
- A5=C
- A6=B
- A7=A
- A8=C
- A9=C
- A10=C

MC Explanations: A1=First(No.1) China world's largest exporter 2023. A2=Embargo=complete ban. A3=i,iii,iv only NPCSC acts when NPC NOT in session (ii is WRONG). A4=Before decisions made. A5=Cooperate+expertise (not compete). A6=Zhou Enlai 1953. A7=i,ii,iv only Military Alliance is NOT a BRI key focus. A8=Trade deficit >€40bn. A9=NCS. A10=Liquor,tobacco,hydrocarbon oil,methyl alcohol.

Section B Short Questions

B1(a). *Year of biggest decline + TWO factors:*

- Year: 2020 (−5.3% the only year with a NEGATIVE growth rate in Extract A)
- Factor 1: COVID-19 pandemic lockdowns, border closures, factory shutdowns, and shipping delays severely disrupted global supply chains
- Factor 2: Reduced global consumer demand with people under lockdown and businesses closed, international demand for goods collapsed

B1(b). *Specialised production + benefit during slow trade:*

- Specialised production : a country focuses on producing goods at the LOWEST possible cost and exports surplus; imports goods it cannot produce cheaply.
- Benefit during slow growth: even when overall trade volume slows, specialised producers remain competitive because their goods are produced at lower cost than rivals they are still price competitive. e.g. China's electronics industry remains the world's lowest-cost producer even during a trade slowdown.

B1(c). *ONE advantage + ONE challenge for developing countries:*

- Advantage: Increases employment opportunities e.g. Bangladesh's garment industry employs millions because global buyers source clothing from its low-cost factories → economic development in a formerly very poor country
- Challenge: Unfair trade developing countries have less bargaining power in WTO negotiations; trade rules often favour wealthier nations → e.g. agricultural subsidies in EU/US undercut developing country farmers

B2(a). *US 2018 trade protection + impact on Chinese exporters:*

- Type: Import duties a tax imposed on imported goods to raise their price
- Impact on Chinese exporters: Chinese goods become 25% more expensive in the US market → US buyers switch to domestic or non-Chinese alternatives → Chinese export volumes to US fall → Chinese manufacturers lose US market share → some relocate factories to Vietnam/Mexico

B2(b). *India 2009 vs UN 2017 difference + severity:*

- India 2009 used an EMBARGO a complete ban on Chinese toy imports for stated safety reasons (actual reason: protect local industry)
- UN 2017 used ECONOMIC SANCTIONS a political tool using trade restrictions (plus financial sanctions) to pressure North Korea over its nuclear programme
- Key difference: Embargo targets ONE product category (toys) from ONE country (China). Economic sanctions are broader they target an entire country's economy across many sectors.

→ More severe: Economic sanctions they can cover energy exports, financial transactions, technology transfers, and goods simultaneously; more comprehensive and harder to bypass

B2(c). Evaluate: 'All trade protection in Extract B is purely economic':

- INCORRECT not fully supported by the evidence.
- Economic reasons: India's ban on Chinese toys (2009) was primarily to protect local toy industry; US tariffs (2018) were to address trade imbalance; EU EV duties (2023) to protect European car industry from cheaper Chinese competition.
- NON-economic (political) reasons: UN sanctions on North Korea (2017) were purely political to pressure North Korea over nuclear weapons; US/EU sanctions on Russia (2022) were political to punish Russia's military action in Ukraine, not for economic competition reasons.
- Conclusion: Extract B shows trade protection is used for BOTH economic AND political reasons the claim is only partially correct.

B3(a). FOUR NPC powers + examples:

- ① Legislative power : amend Constitution, enact basic laws e.g. NPC amended the Constitution in 2018 to remove term limits on the Presidency
- ② Supervisory power : oversee enforcement of the Constitution e.g. NPC reviews annual government work reports to ensure laws are being implemented
- ③ Power to decide on major issues : approve national economic plan and state budget e.g. NPC approved 2023 defence budget increase of 7.2%
- ④ Appointment and removal power : elect President/VP, approve Premier, elect CMC Chair e.g. NPC elected Xi Jinping as President and approved Li Qiang as Premier in March 2023

B3(b). NPC vs NPCSC relationship + constitutional basis:

- The NPCSC is the PERMANENT ORGAN of the NPC: it exercises NPC functions and powers granted by the Constitution when the NPC is not in session .
- Constitutional basis: The Constitution grants the NPCSC the power to exercise NPC authority between annual sessions. When the NPC is not in session, NPCSC can exercise appointment and removal power including appointing ministers to fill vacancies.
- The NPCSC is accountable to and reports to the NPC it is a subordinate body whose authority derives FROM the NPC, not independently.

Section C Extended Questions

C1(a). China GDP trend + biggest drop + TWO factors:

- Trend: China's GDP growth generally declined from 6.8% (2017) to a trough of 2.3% (2020), then rebounded to 8.1% (2021) before declining again to 3.0% (2022) and recovering to 5.0% (2023).
- Most significant drop: 2020 (from 6.1% in 2019 to 2.3% a drop of 3.8 percentage points)
- Factor 1: COVID-19 pandemic factory shutdowns, border closures, and collapse in global demand all hit China's export-driven economy hard
- Factor 2: US tariffs continued 25% tariffs on USD 360bn+ of Chinese goods were still in place, reducing export revenues

C1(b). Shanghai Stock Exchange + investment risk:

- The Shanghai Stock Exchange fell from 3,307 (year-end 2017) to 2,494 (year-end 2018) a decline of 813 points or approximately 24.6%.
- This shows trade conflicts increase investment risk because: when US tariffs were imposed (2018), investors feared: ① lower corporate profits as Chinese companies faced reduced US sales ② factory relocations reducing China's industrial output ③ further escalation making China's economy more uncertain → investors sold shares → stock prices fell.
- The stock market recovered to 3,640 in 2021 when trade tensions temporarily eased and COVID rebounded further confirming the link between trade conflict intensity and investor confidence.

C1(c). Summarise Source 2 vs Source 3 + evaluate which is better supported:

- Source 2 (Chinese economist): China showed 'remarkable resilience' 5.0% GDP growth in 2023 exceeds global average of 3.0%. The trade war accelerated China's technological self-reliance. Conclusion: China has benefited from the pressure.
- Source 3 (US analyst): The trade war failed for the US trade deficit with China reached USD 383bn in 2022 (still very large); US consumers paying higher prices; tariffs cost the US more than China. Conclusion: The US lost more than it gained.
- Evaluation: Source 3 is BETTER supported by Source 1. Evidence: ① China's GDP recovered strongly (8.1% in 2021, 5.0% in 2023) despite tariffs resilience confirmed. ② The source 1 data does not show China's GDP permanently damaged. ③

Source 3's point about the US trade deficit is confirmed by the continued presence of tariffs with no permanent improvement. HOWEVER: Source 2 also has merit China DID invest in domestic chip production (e.g. SMIC). Best answer: Both views have merit, but Source 3 is better supported regarding the US failure to achieve its goals.

C1(d). Does 5% GDP growth mean economic security is not threatened? Full evaluation:

- Economic security definition: a state where the country can eliminate and resolve potential risks, resist external economic shocks, and ensure continuous, healthy economic development.
- Against the claim (security IS still threatened despite 5% growth): ① De-Chinaisation continues factories still relocating to Vietnam/Mexico → long-term tax base and employment affected ② US tariffs remain in place China's export revenues to US still reduced ③ Stock market at 2,974 in 2023 still LOWER than the 3,307 pre-tariff level of 2017 (Source 1) → investor confidence not fully restored ④ US technology export controls (e.g. semiconductors) represent a NEW security threat not captured in GDP figures.
- For the claim (growth shows resilience): ① GDP 5.0% > global average 3.0% economy IS growing faster than world ② BRI trade reached RMB 19.5tn (Source 4) diversifying away from US market ③ Source 2 notes China developing own high-tech industries.
- Conclusion: The 5% GDP figure is positive but insufficient to conclude security is NOT threatened. Economic security requires SUSTAINABLE resilience the ongoing tariffs, de-Chinaisation, and stock market performance (still below 2017 level) all indicate significant ongoing risks. GDP growth measures current output, not future security.

C2(a). BRI trade % increase + significance:

- Calculation: $46.6\% - 41.5\% = 5.1$ percentage points increase from 2019 to 2023.
- Significance: BRI countries are becoming an increasingly important share of China's total trade rising from 41.5% to 46.6% in just 4 years. This shows the BRI is working as a strategic trade diversification tool, reducing China's dependence on US/EU markets. Given the US-China trade war, redirecting trade toward BRI partners reduces vulnerability to Western tariffs.

C2(b). Jakarta HSR vs Hambantota Port compare + explain difference:

- Jakarta HSR: USD 7bn investment → opened October 2023 → reduced travel time from 3 hours to 45 minutes → genuine infrastructure development success. Indonesia retained full ownership and sovereignty.
- Hambantota Port: USD 1.1bn investment → Sri Lanka COULDN'T REPAY → forced to lease port to China for 99 YEARS in 2017 → cited as 'debt trap'; Sri Lanka lost sovereignty over a strategic port.
- Key factor explaining the difference: DEBT SUSTAINABILITY. Indonesia's HSR was structured so Indonesia could manage repayments (or had sufficient GDP growth to absorb costs). Sri Lanka's smaller economy and weaker fiscal position made the loan unmanageable when revenue from the port didn't meet projections, repayment became impossible.

C2(c). Italy withdrawal economic evidence + non-economic factor:

- (i) Economic evidence: Italy's trade deficit with China grew from -€18.7bn (2019) to -€41.1bn (2023) a doubling of the deficit. Italy's exports to China grew only +€3.4bn while China's exports to Italy grew +€25.8bn. BRI membership clearly benefited China more than Italy economically.
- (ii) Non-economic factor: Political pressure from the US and NATO allies Italy was the ONLY G7 nation to have joined BRI, making it an outlier among Western allies. As geopolitical tensions between China and the West intensified (especially post-Ukraine war), Italy faced political pressure to distance itself from China-led initiatives.

C2(d). BRI: net benefit or net risk? Full evaluation:

- OPPORTUNITIES: ① Economic growth Source 4: BRI trade grew from RMB 19.5tn (2019) to RMB 19.5tn (2023), +41%; 46.6% of China's total foreign trade shows massive economic integration ② Infrastructure success Source 5: Jakarta-Bandung HSR reduced travel time from 3h to 45min; China-Europe Railway Express runs 77,000+ trains connecting 217 cities ③ Resource security overland BRI pipelines bypass Strait of Malacca and Hormuz, reducing Chinese vulnerability to maritime chokepoints
- CHALLENGES: ① Debt trap risk Source 5: Hambantota Port shows developing countries can lose sovereignty when unable to repay BRI loans ② Unequal trade benefits Source 6: Italy's trade deficit with China grew to -€41.1bn despite BRI membership; BRI may mainly benefit China ③ Geopolitical skepticism Italy's withdrawal under US/NATO pressure shows BRI faces political opposition in the West
- JUDGMENT: The BRI is a net benefit for CHINA and a MIXED outcome for partner countries depending on their economic position. For developing countries with infrastructure needs (Indonesia, Pakistan), BRI provides access to finance otherwise unavailable net benefit. For developed economies (Italy) or countries with weak fiscal capacity (Sri Lanka), BRI creates dependency and unbalanced trade net risk. The BRI's impact is therefore CONTEXT-DEPENDENT, not universally positive or negative.
- Strong answers should: (1) use specific data from ALL three sources; (2) distinguish between different types of countries; (3) reach a clear, justified conclusion that acknowledges both dimensions.